



OTC Derivatives Clearing and Settlement Business Regulation

Formulated on September 11, 2013

Amended on:

June 3, 2014

February 11, 2015; May 27, 2015; October 21, 2015

November 30, 2016

December 5, 2018

August 28, 2019

April 29, 2020

June 9, 2021; August 25, 2021

September 17, 2025

This English version does not warrant or assume any liability or responsibility for the accuracy, completeness or usefulness of any information contained herein. Only the Korean version shall be deemed authentic.

TABLE OF CONTENTS

CHAPTER I. GENERAL PROVISIONS	1
§1. Purpose	1
§2. Definitions	1
§3. Non-business day	3
§4. Suspension and Resumption of Clearing Operation	4
CHAPTER II. CLEARING ELIGIBLE TRANSACTIONS	4
§5. Clearing Eligible Transactions and Prohibition of Discriminatory Handling.....	4
§6. Requirements of Clearing Eligible Transactions	5
CHAPTER III. CLEARING MEMBERS.....	7
Section 1. Membership Types and Qualifications	7
§7. Types of Clearing Membership.....	7
§7-2. Scope of Clearing Participation	7
§8. Admission Requirements of Clearing Member.....	8
Section 2. Admission of Clearing Member.....	8
§9. Application for Clearing Membership	8
§10. Requirements for Clearing Member Admission, Review of Application and Admission Approval.....	8
§11. Financial Requirements.....	9
§12. Payment of Admission Fees and Contribution to OTC Derivatives Joint Compensation Fund.....	11
§13. Clearing Participation Dates, etc.	11
Section 3. Withdrawal from Clearing Membership	11
§14. Voluntary Withdrawal.....	11
§15. Compulsory Withdrawal	12
§16. Close-out Cleared Transactions	12
§17. Notification of Request for Withdrawal or Withdrawal from Membership	12
§18. Succession of Clearing Membership.....	12
§19. Termination of Clearing Participation.....	13
§20. Liability of Clearing Member Withdrawing Membership	13
§21. Return and Succession of Contribution to OTC Derivatives JCF.....	13
Section 4. Conversion of Clearing Membership.....	14
§22. Request for Conversion of Clearing Membership and Conversion Criteria	14
§23. Review and Approval of Request for Conversion of Clearing Membership	14
§24. Payment of Conversion Fee	14
§25. Cancellation and Notification of Conversion Approval and Conversion Date..	14
Section 5. Obligations of Clearing Members.....	15

§26. Setting aside of OTC Derivatives Joint Compensation Fund	15
§27. Contribution Methods, Management and Operation, etc. of OTC Derivatives JCF	16
§28. Re-contribution to OTC Derivatives JCF subsequent to Expiry of Cap Period	16
§29. Clearing Member's Required OTC Derivatives JCF Contribution Amount	17
§30. Maintenance of Admission Criteria for Clearing Members.....	17
§31. Maintenance of Minimum Risk-based Equity Capital	17
§32. Compliance with Acts and Regulations	18
§33. Principles of Due Diligence and Good Faith	18
§34. Payment of Clearing Fees.....	18
§35. Reporting of Financial Conditions	18
§36. Reporting to the Exchange	19
Section 6. Actions against Clearing Members	21
§37. Request for Information, etc.....	21
§38. Request for Corrections.....	21
§39. Grounds for taking Measures	21
§40. Measures against Clearing Members	22
§41. Deferment or Termination, etc. of Measures against Failures to meet Financial Requirements.....	23
§42. Procedures, etc. for taking Measures against Clearing Members	24
§43. Summary Fines.....	25
§44. Notification of Measures	25
CHAPTER IV. ASSUMPTION OF OBLIGATIONS, ETC.	25
Section 1. Opening of Clearing Account, etc.	25
§45. Clearing Accounts	25
§46. Member's Account for Clients	26
Section 2. Assumption of Obligations	26
§47. Trade Confirmation and Request for Assumption of Obligations	26
§48. [Deleted on May 27, 2015].....	27
§49. Hours for Requesting Assumption of Obligations, etc.	27
§50. Registration of Assumption of Obligations.....	27
§50-2. Offsetting of Cleared Transactions	28
§51. Registration Period for Assumption of Obligations.....	28
§52. Methods of Assumption of Obligations	28
§53. Specifications of Cleared Transactions	30
CHAPTER V. CLIENT CLEARING	30
§54. Client Clearing Agreement.....	30
§55. Prerequisites of Clients.....	31

§56. Termination of Client Clearing Agreement	32
§57. Validity of Written Pledge	32
§58. Preservation of Client Clearing Agreement Documents	32
§59. Fiduciary Duty and Confidentiality, etc. of General Clearing Member	32
§60. Methods of receiving Entrustment of Request for Assumption of Obligations.	33
§61. Verification of Details of Entrustment of Request for Assumption of Obligations	33
§62. Rejection of Entrustment.....	33
§63. Delegation of entrusted Tasks, including Settlement.....	34
 CHAPTER VI. SETTLEMENT OF CLEARED TRANSACTIONS	34
Section 1. Settlement between a Clearing Member and the Exchange.....	34
§64. Daily Settlement and Settlement Rates	34
§65. Receipt and Delivery of Daily Net Settlement Amount.....	34
Section 2. Net Settlement and Settlement Deadline	35
§66. Determination of Net Cash Settlement Amount and Settlement Deadline	35
§67. Notification of Settlement Details	36
§68. Delivery and Receipt of Net Cash Settlement Amount	36
§69. Method of Delivery and Receipt of Net Cash Settlement Amount.....	36
§69-2. Settlement Finality of Net Cash Settlement Amount.....	37
§70. Settlement Instructions	37
§71. Settlement Bank Management	37
Section 3. Analysis and Management of Settlement Risks and Liquidity Provision.....	37
§72. Analysis and Management of Settlement Risks, etc.	37
§73. Liquidity Provision, etc. for Settlement Guarantee.....	38
§74. Loss caused by Settlement Delay	38
§75. Bearing of Expenses related to Settlement.....	38
Section 4. Settlement between Clearing Member and Client	38
§76. Daily Net Settlement Amount and Settlement Rates	38
§77. Delivery and Receipt of Daily Net Settlement Amount.....	39
§78. Delivery and Receipt of Client's Net Cash Settlement Amount.....	39
§79. Special Cases concerning Settlement in Case of Delegation of entrusted Tasks	40
 CHAPTER VII. MARGINS	40
Section 1. General Provisions	40
§80. Classification and Calculation of Margins	40
Section 2. Deposit of Member Margins	41
§81. Deposit of Member Margins	41
§82. Deposit of Intraday Member Margins	41
Section 3. Deposit, Withdrawal and Methods of Management and Investment of Member Margins	42

§83. Segregated Deposit and Means of Deposit of Member Margins	42
§84. Return and Appropriation of Member Margins	42
§85. Methods of Deposit and Withdrawal of Member Margins	43
§86. Management and Investment of Member Margins	44
Section 4. Deposit of Client Margins.....	44
§87. Deposit of Client Margins	44
§88. Deposit of Intraday Client Margins.....	45
Section 5. Payment and Appropriation of Client Margins.....	45
§89. Deposit Means and restricted Use of Client Margins	45
§90. Return and Appropriation of Client Margins	46
§91. Exceptions in Return and Appropriation according to Task Delegation Agreement	46
§92. Methods of Deposit and Return of Substitute Securities and Foreign Securities.....	47
§93. Combined Custody, etc. of Foreign Securities.....	47
§94. [Deleted on November 30, 2016]	47
Section 6. Types and Valuation of Substitute Securities, Foreign Currencies and Foreign Securities.....	47
§95. Types, etc. of Substitute Securities	47
§96. Types, etc. of Foreign Currencies	48
§97. Types, etc. of Foreign Securities	49
 CHAPTER VIII. CHANGE OF CONTRACT AND TRANSFER OF CLEARED TRANSACTIONS	49
Section 1. Change of Contract of Cleared Transactions	49
§98. Change of Contract.....	49
§99. Receipt and Delivery of Negotiated Settlement Amount for Change of Contract	50
Section 2. Transfer of Cleared Transaction	50
§100. Transfer of Cleared Transactions between Clearing Members.....	50
§100-2. Transfer of Cleared Transactions between Clearing Accounts	50
 CHAPTER IX. DEFAULT MANAGEMENT PROCESS.....	51
Section 1. Measures against Defaulting Clearing Members.....	51
§101. Measures in Case of Settlement Default of Clearing Members.....	51
§102. Close-out of Cleared Transactions held by suspended Clearing Members.....	52
§103. Protection of Client, etc.....	52
§104. Termination of Measures imposed subsequent to Settlement Default.....	53
Section 2. Measures against Defaulting Clients	53
§105. Measures, etc. in Case of Settlement Default of Clients.....	53
Section 3. Risk Management in Case of Settlement Default	54
§106. Default Management Committee	54
§107. Implementation of Hedging Transaction.....	54

§108. Conduct of Auctions.....	54
§109. Handling of Successful Bids	55
§110. General Meeting of Clearing Members.....	56
§111. Commencement of Close-out Netting Process.....	57
Section 4. Default Waterfall	58
§112. First Use of Assets of Defaulting Clearing Members	58
§113. Loss Compensation using OTC Derivatives JCF and Settlement Reserve.....	58
§114. Loss Compensation using Member Assessment	59
§115. Loss Compensation using Collection of Variation Margin Gains Haircuts.....	60
§116. Upper Limit of Non-Defaulting Clearing Member's Contribution to OTC Derivatives JCF	60
§117. Recovery of Used Resources according to Exercise of Indemnity	60
CHAPTER X. MANAGEMENT OF CLEARING OPERATION	61
§118. Employer's Liability of the Exchange	61
§119. Position Limits of Cleared Transactions	61
§120. Change of Settlement Terms	62
§121. Limitation of Liability for Operational Delay.....	62
§122. Prohibition of Transfer of Claim	62
§123. Liquidation of Collateral	62
§124. Matters to be notified by the Exchange.....	62
§125. Notification and Reporting Methods of Clearing Members	62
§126. Preservation, Management and Reporting of Clearing Information.....	62
§127. Record in Members' Account for Clients	63
§128. Late Payment Penalty	63
§129. Announcement of Business Day	63
§130. Standard Time	63
§131. Governing Laws and Jurisdiction.....	63
§132. Enforcement Rules	64
§133. Clearing/Settlement & Risk Management Committee.....	64
§134. Risk Management in Case of Clearing Link	64
§135. Exception in Registration of Foreign Supervisory Institution etc.....	64
§136. Public Opinion Gathering.....	64
ADDENDA.....	66

CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation shall be to stipulate the matters necessary for Korea Exchange (hereinafter referred to as “the Exchange”) as a financial investment product clearinghouse [hereinafter referred to as the “CCP (central counterparty)”] in performing the tasks related to the business of financial investment-products clearing, including trades subject to clearing, qualification of a clearing member, assumption and fulfillment of obligations, clearing submission, and member margin, pursuant to Article 323-11 of the Financial Investment Services and Capital Market Act (hereinafter referred to as “the Act”).

§2. Definitions

(1) The terms used in this Regulation shall have the meanings given in each of the following subparagraphs: (Amended on June 3, 2014; October 21, 2015; November 30, 2016; August 25, 2021)

1. The term “OTC derivatives trades” in this Regulation means the trading of interest rate swap among the contracts prescribed in Article 5(1)3 of the Act (hereinafter referred to as the “swap trading”), which was carried out outside the market (hereinafter referred to as the “OTC”) established by the entity who obtained the permission for exchange pursuant to Article 373-2 of the Act.

(a) [Deleted on November 30, 2016]

(b) [Deleted on November 30, 2016]

(c) [Deleted on November 30, 2016]

2. [Deleted on November 30, 2016]

3. The term “clearing member” means an entity who obtained the authorization to participate in the clearing operation of OTC derivatives trades from the Exchange, from among the persons who were licensed for the investment trading business in relation to the OTC derivatives trades.

4. The term “client” in this Regulation means an entity who entrusted the clearing participation tasks of the clearing eligible transactions that were executed under his/her own name to a clearing member.

5. The term “clearing eligible transactions” in this Regulation means OTC derivatives trades for which the Exchange may assume the settlement obligation while engaging in the business of clearing the financial investment product trades.

6. The term “clearing operation” in this Regulation means the operations such as the verification of clearing eligible transactions for clearing, assumption of obligations,

netting, determination of settlement amount, notification of settlement amount determined to the clearing member, receipt of determined settlement amount from the clearing member, settlement instruction, delivering determined settlement amount to the clearing member and handling settlement default, which the Exchange fulfills.

7. The term “clearing participation” in this Regulation means the performance of tasks that the clearing member assumes as the counterparty of clearing and settlement that the Exchange performs, including the request for assumption of obligation, receipt and delivery of settlement amount, the OTC derivatives JCF and member margin.

8. The term “assumption of obligation” in this Regulation means conducting cleared transactions between the Exchange and a clearing member pursuant to [§52].

9. The term “cleared transaction” in this Regulation means the OTC derivatives trades executed between the Exchange and a clearing member through the assumption of obligations by the Exchange, which is classified as follows:

- (a) Proprietary cleared transactions: Cleared transactions that a clearing member conducts on its own account; and
- (b) Client cleared transactions: Cleared transactions that a clearing member conducts on the account of its client.

10. The term “OTC derivatives joint compensation fund” in this Regulation means the joint compensation fund that the clearing members accumulate with the Exchange to compensate the damage caused by the settlement default of cleared transaction by the clearing member.

11. The term “Exchange OTC derivatives settlement system” in this Regulation means a system that the Exchange operates to conduct the tasks related to the settlement of clearing eligible transactions.

12. The term “Member OTC derivatives settlement system” in this Regulation means a system of clearing members that is connected to the Exchange OTC derivatives settlement system to carry out the tasks related to clearing participation after obtaining the authorization of the Exchange.

13. The term “Member OTC derivatives settlement terminal” in this Regulation means a terminal that is connected to the Exchange OTC derivatives settlement system to carry out the same or similar tasks that the Member OTC derivatives settlement system performs.

14. The term “ISDA” in this Regulation refers to the International Swaps and Derivatives Association, Inc.

15. The term “ISDA Definitions” refers to the glossary of OTC derivatives trades published by the ISDA and the documents specified in the Enforcement Rules.

16. The term “ISDA Master Agreement” in this Regulation refers to the Master Agreement relating to OTC derivatives trades published by the ISDA and the documents specified in the Enforcement Rules.

- (a) [Deleted on August 25, 2021]
- (b) [Deleted on August 25, 2021]
- (c) [Deleted on August 25, 2021]
- (d) [Deleted on August 25, 2021]

17. The term “negotiated settlement amount” in this Regulation refers to the amount that is agreed to give and receive by both parties of the clearing eligible transaction other than the fixed rate interest amount and floating rate interest amount, and it is classified as specified in each of following items:

- (a) Upfront fee: The amount that is delivered and received at the execution of a clearing eligible transaction; and
- (b) Negotiated settlement amount for change of contract: The amount that is delivered and received related to the change of contract.

18. The term “CD rate” in this Regulation refers to the annual rate of return on a 91-day negotiable certificate of deposit calculated by the Korea Financial Investment Association. [September 17, 2025]

19. The term “KOFR (Korea Overnight Financing Repo Rate)” refers to the Korea Risk-Free Reference Rate calculated by the Korea Securities Depository. [September 17, 2025]

(2) Except for the case of definitions given in this Regulation, the terms used in this Regulation shall have the same meaning given to them in the Act, “Articles of Incorporation” of the Exchange, regulations related to the business of the Exchange and the ISDA Definitions.

(3) In cases where there is discrepancy between the definitions given in this Regulation and the ISDA Definitions, the definitions in this Regulation shall prevail.

§3. Non-business day

(1) The Exchange shall regard the day falling under any of the following subparagraphs as a holiday when no business is conducted:

- 1. Public holidays under the Rules on Holidays of Public Agencies;
- 2. Labor day under the Designation of Worker’s Day Act; and
- 3. Saturdays.

(2) In the case of a shutdown of overall functions of social infrastructure, including the natural disaster, war, blackout of electricity and communication system failure, and cases where it deems necessary to suspend the clearing operation for more than one (1) day, the

Exchange shall not carry out the clearing operation by declaring a temporary holiday within the necessary limit.

(3) In cases where the clearing operation is suspended pursuant to paragraph (2), the Exchange shall notify the reasons for suspension to the clearing members and clients in advance.

§4. Suspension and Resumption of Clearing Operation

(1) In cases where it deems difficult to carry out the clearing operation in a normal manner due to reasons such as the failure of Exchange OTC derivatives settlement system, etc., the Exchange may suspend a part or the whole of the clearing operation.

(2) In the case of suspending the clearing operation pursuant to paragraph (1), the Exchange may change the deposit deadline of margin, the delivery deadline of net cash settlement amount, etc.

(3) In cases where, after the clearing operation was suspended pursuant paragraph (1), the cause for such suspension has been resolved, the Exchange shall resume the clearing operation without delay.

(4) In the case of suspending the clearing operation pursuant to paragraph (1) or changing the deadline pursuant to paragraph (2), the Exchange shall notify the reasons therefor to the clearing members and clients.

CHAPTER II. CLEARING ELIGIBLE TRANSACTIONS

§5. Clearing Eligible Transactions and Prohibition of Discriminatory Handling

(1) Clearing eligible transactions shall be classified as follows: (Amended on November 30, 2016)

1. KRW interest rate swap transactions: This is the OTC derivatives trades that meet all of the requirements specified in [§6(1)] and of which the contract amount is denominated in Korean won, and shall be categorized as follows: (Amended on September 17, 2025)

(a) KRW IRS Transactions: The interest rate swap transactions based on the floating interest rate noted in [§6(1)3(a)]; and [September 17, 2025]

(b) KRW OIS Transactions: The overnight index swap transactions based on the floating interest rate noted in [§6(1)3(b)]. [September 17, 2025]

2. Foreign currency interest rate swap transactions: The interest rate swap transactions, as the OTC derivatives trades that meet all of the requirements noted in [§6(2)], of which contract amount is denominated in foreign currencies specified in the Enforcement Rules.

(2) The Exchange shall not discriminate against a clearing eligible transaction executed bilaterally or on or subject to the rules of an unaffiliated electronic matching platform or trade execution facility without rational reasons during the clearing operation. [May 27, 2015]

§6. Requirements of Clearing Eligible Transactions

(1) The KRW interest rate swap transactions shall satisfy all of the requirements specified in the following subparagraphs:

1. It shall be a transaction executed in accordance with an ISDA Master Agreement and ISDA Definitions;

2. It shall be a transaction where the fixed interests are exchanged for the floating interests for the contract amount;

3. Clearing eligible transactions under each of the following subparagraphs shall be concluded at a floating interest rate prescribed in that subparagraph: (Amended on September 17, 2025)

(a) KRW IRS Transactions: The CD interest rate at the time specified in the Enforcement Rules on the business day immediately preceding the first day of the interest calculation period; and [September 17, 2025]

(b) KRW OIS Transactions: The annual rate of return calculated according to the method stipulated in the Enforcement Rules based on the KOFR at the time specified in the Enforcement Rules. [September 17, 2025]

4. The settlement amount shall be denominated in the currencies specified in the Enforcement Rules; and

5. In addition, the requirements specified in the Enforcement Rules shall be satisfied.

(2) The foreign currency interest rate swap transactions shall satisfy all of the requirements noted in the following subparagraphs:

1. It shall be a transaction executed in accordance with an ISDA Master Agreement and ISDA Definitions;

2. It shall be a transaction where the fixed interests are exchanged for the floating interests for the contract amount;

3. The floating interest rates shall be the interest rates specified in the Enforcement Rules;
 4. The settlement amount shall be denominated in the currencies specified in the Enforcement Rules; and
 5. In addition, the requirements specified in the Enforcement Rules shall be satisfied.
- (3) The matters necessary with regard to the requirements of clearing eligible transactions noted in paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

(Wholly amended on November 30, 2016)

CHAPTER III. CLEARING MEMBERS

Section 1. Membership Types and Qualifications

§7. Types of Clearing Membership

(1) Clearing members shall be classified into the general clearing member and the proprietary clearing member.

(2) [Deleted on November 30, 2016]

(3) [Deleted on November 30, 2016]

§7-2. Scope of Clearing Participation

(1) A general clearing member participates in the clearing under its own name for the clearing eligible transactions executed under its own name or client's name to fulfill the settlement with the Exchange.

(2) A proprietary clearing member participates in the clearing under its own name for the clearing eligible transactions executed under its own name to fulfill the settlement with the Exchange.

(3) In cases where a clearing member is a branch office, other business offices of a foreign financial investment business entity, etc. (hereinafter referred to as the "foreign financial investment business entity, etc.") prescribed in Article 16(10) of the Enforcement Decree of the Financial Investment Services and Capital Markets Act (hereinafter referred to as "the Enforcement Decree of the Act"), the clearing eligible transactions executed under the name of the relevant clearing member shall include those executed under the names of the head office (limited to the entity of which equity capital equivalent to the bank equity capital or the non-bank equity capital specified in [§11(1)1(a)] pursuant to the statutes of the country where the head office is located), other foreign branch offices and other business offices belonging to the head office (hereinafter referred to as "head office, etc.").

(4) When the head office, etc. of a clearing member intend to conduct the clearing participation under the name of the clearing member pursuant to paragraph (3), the head office of the relevant clearing member shall confirm the details of the clearing participation and submit a document confirming the fulfillment of the obligations for the cleared transactions of the relevant clearing member (hereinafter in this Article referred to as the "clearing participation letter") to the Exchange through the relevant clearing member.

(5) The matters necessary with regard to the clearing participation letter noted in paragraph (4) shall be stipulated in the Enforcement Rules.

(6) The methods of clearing participation by the head office, etc. of a clearing member which conduct the clearing participation through the clearing member pursuant to paragraph (3), and the matters necessary with regard to the deposit of margins and settlement, etc. for the clearing participation shall be stipulated in the Enforcement Rules.

[November 30, 2016]

§8. Admission Requirements of Clearing Member

The entity allowed to become a clearing member of Exchange shall be an entity that has obtained the authorization or preliminary authorization for OTC derivatives dealing business.

Section 2. Admission of Clearing Member

§9. Application for Clearing Membership

(1) Any entity that wishes to obtain the clearing membership shall file an application for clearing membership to the Exchange in the application form specified in the Enforcement Rules, for each category of clearing membership.

(2) When an entity that voluntarily withdrew from the clearing membership pursuant to [§14] intends to apply for clearing membership, the period specified in the Enforcement Rules shall elapse from the date of voluntary withdrawal. Provided that this may not apply if the Board of Directors of the Exchange (hereinafter referred to as the “Board”) deems it necessary. (Amended on September 17, 2025)

(3) Matters necessary for application for clearing membership and other necessary matters related to the admission as clearing member shall be stipulated in the Enforcement Rules.

§10. Requirements for Clearing Member Admission, Review of Application and Admission Approval

(1) Any entity intending to become a clearing member of the Exchange shall satisfy the criteria noted in each of the following subparagraphs:

1. To meet the financial requirements under [§11];
2. To be equipped with equipment and facilities, including the electronic facilities, necessary for the efficient accomplishment of tasks of clearing member;
3. To have human resources sufficient to carry out the tasks of clearing member in a reliable and efficient manner; and

4. To have sufficient social credibility stipulated in the Enforcement Rules.
- (2) Upon receiving an application for clearing membership, the Exchange shall review if the applicant meets the admission criteria and notify the applicant the review result within three (3) months of the application date.
- (3) The Exchange may undertake an onsite investigation to verify the details stated in the application.
- (4) In the case of finding a deficiency in the application submitted, the Exchange may ask the applicant to supplement the application. In such cases, the Exchange may extend the review period.
- (5) The decision on admission approval shall be made by a resolution of the Board. In such cases, the Board may approve the admission while imposing specific conditions. (Amended on September 17, 2025)
- (6) The matters necessary for the admission criteria noted in each subparagraph of paragraph (1), the review of application and admission approval shall be stipulated in the Enforcement Rules.

§11. Financial Requirements

(1) Financial requirements of the admission criteria for clearing members shall be as follows: (Amended on June 3, 2014; February 11, 2015; November 30, 2016; December 5, 2018)

1. In the case of a general clearing member

(a) Equity capital

In the case of banks that run financial investment business concurrently (referring to the banks under the “Banking Act”, the Korea Development Bank under the “Korea Development Bank Act”, the Industrial Bank of Korea under the “Industrial Bank of Korea Act”, the Korea Export-Import Bank under the “Export-Import Bank of Korea Act”, the NH Bank under the “Agricultural Cooperatives Act”, and the Fisheries Cooperatives under the “Fisheries Cooperatives Act”, which run financial investment business concurrently; the same hereinafter), the equity capital under Article 2(1) of the “Regulations on Supervision of Banking Business” established by the Financial Services Commission (hereinafter referred to as “bank equity capital”) shall be no less than KRW 500 billion; and, in the case of non-bank financial investment companies (referring to the financial investment business entities other than banks; the same hereinafter), the equity capital (referring to the total assets calculated by subtracting total liabilities from total capital stated in the individual financial statements; hereinafter referred to as “non-bank equity capital”) shall be no less than KRW 500 billion.

(b) Capital ratios

For the banks that run financial investment business concurrently, the capital ratio shall be at least the ratios under Article 34(1)1 of the “Regulations on Supervision of Banking Business”; and for the non-bank financial investment companies, the capital ratio shall be at least the net capital ratios under Article 166-2(1)3 of the Act.

2. In the case of a proprietary clearing member

(a) Equity capital

The bank equity capital and non-bank equity capital shall be no less than KRW 50 billion, respectively. Provided that this provision shall not apply to the case falling under any of the followings, even if the equity capital is less than KRW 50 billion.

(i) In cases where the parent company (limited to a company of which the bank equity capital or the non-bank equity capital is KRW 50 billion or more, as a parent company prescribed in Article 342-2 of the Commercial Act; the same hereinafter) or the largest shareholder, which is a corporation (limited to a person, as the largest shareholder prescribed in Subparagraph 6(a) of Article 2 of the “Act on Corporate Governance of Financial Companies”, whose bank equity capital or non-bank equity capital is KRW 50 billion or more; the same hereinafter), of the company intending to become a proprietary clearing member has submitted to the Exchange documents guaranteeing the fulfillment of obligations (hereinafter referred to as “guarantee letter”) for the cleared transactions of the relevant proprietary clearing member.

(ii) In cases where a person who intends to be a proprietary clearing member is a branch office in Korea or other business office of foreign financial investment business entity, etc. (hereinafter referred to as “branch office, etc.”), when the head office of the person intending to be a proprietary clearing member (limited to the person whose equity capital equivalent to the bank equity capital or the non-bank equity capital under the statutes of the country where the head office is located is KRW 50 billion or more) has submitted to the Exchange documents confirming the fulfillment of obligations (hereinafter referred to as “commitment letter”) for the cleared transactions of the relevant proprietary clearing member.

(b) Capital ratios

For the banks that run financial investment business concurrently, the capital ratio shall be at least the ratios under Article 34(1)1 of the “Regulations on Supervision of Banking Business”, and for the non-bank financial investment companies, the capital ratio shall be at least the net capital ratio under Article 166-2(1)3 of the Act.

(2) The matters necessary in relation to the guarantee letter and commitment letter noted in paragraph (1) shall be stipulated in the Enforcement Rules.

§12. Payment of Admission Fees and Contribution to OTC Derivatives Joint Compensation Fund

(1) The applicant that has obtained the admission approval as clearing member shall pay the admission fee to the Exchange and contribution to the OTC derivatives joint compensation fund (“JCF”). (Amended on September 17, 2025)

(2) The admission fee to be paid pursuant to paragraph (1) shall be determined by a resolution of the Board.

(3) The amount of OTC derivatives JCF to be contributed pursuant to paragraph (1) shall be the amount of basic contribution under subparagraph 1 of [§29].

§13. Participation Dates, etc.

(1) An entity that has been approved for clearing membership may participate in the clearing process from the day (hereinafter referred to as the “participation date”) following the date on which the procedure noted in each of the following subparagraphs is completed: (Amended on September 17, 2025)

1. Payment of admission fees and contribution to the OTC derivatives JCF pursuant to [§12];

2. Where the admission was approved under a certain condition pursuant to the latter part of [§10(5)], the fulfillment of that condition; and

3. Other procedures that are deemed necessary by the Exchange.

(2) In cases where an applicant for clearing membership has become a clearing member pursuant to paragraph (1), the Exchange shall notify such fact to other clearing members and clients without delay.

(3) If an entity that has been approved for clearing membership fails to complete the procedures specified in paragraph (1) by the date set by the Exchange, the Exchange may cancel the approval for membership. [September 17, 2025]

Section 3. Withdrawal from Clearing Membership

§14. Voluntary Withdrawal

(1) When intending to voluntarily withdraw from the clearing membership, a clearing member shall request the withdrawal from membership to the Exchange in the form specified in the Enforcement Rules.

(2) In cases where a request for withdrawal from clearing membership pursuant to paragraph (1) is filed, the membership shall be withdrawn on the day later of the days in the following subparagraphs:

1. The day when the number of days specified in the Enforcement Rules has elapsed from the date of request for the membership withdrawal; and
2. The business day when the clearing member has closed out all cleared transactions.

§15. Compulsory Withdrawal

In cases where the cause noted in any of the following subparagraphs has occurred to a clearing member, it shall be deemed that the membership of the relevant clearing member has compulsory been withdrawn:

1. Termination of authorization for investment trading business of OTC derivatives with the interest rate as an underlying asset acquired pursuant to Article 12(1) of the Act or a shutdown or transfer of investment dealing business;
2. Dissolution; and
3. Expulsion from the membership.

§16. Close-out Cleared Transactions

The Exchange shall close out the cleared transactions of clearing member whose membership has been deemed withdrawn pursuant to [§15] using a method that it deems appropriate, including auction.

§17. Notification of Request for Withdrawal or Withdrawal from Membership

In the event that a clearing member requests to voluntarily withdraw its membership or has withdrawn from its membership, the Exchange shall notify such fact to other clearing members and clients without delay.

§18. Succession of Clearing Membership

(1) The membership of the clearing member that withdrew its membership because of a merger or a business transfer may be succeeded by the surviving company or newly created company subsequent to the merger or by the company taking over the business, with the approval of the Exchange.

(2) In the case of taking over the membership of a clearing member pursuant to paragraph (1), the cleared transactions of the member that withdrew its membership shall be deemed

to be the cleared transactions of the surviving company or the company newly created subsequent to the merger or the company taking over the business.

§19. Termination of Clearing Participation

In cases where a clearing member requests the membership withdrawal pursuant to [§14(1)] or a clearing member has been deemed withdrawn from the membership pursuant to [§15], the Exchange shall terminate the clearing participation by the relevant clearing member on the next day. Provided that, in cases where it deems necessary, the Exchange shall allow clearing participation of the relevant clearing member for a limited period deemed necessary.

§20. Liability of Clearing Member Withdrawing Membership

(1) In cases where a settlement default by other clearing members occurs before the date of voluntary membership withdrawal of a clearing member and the loss caused by such settlement default is not finalized before the voluntary withdrawal date, the clearing member that requested for the voluntary withdrawal of membership shall be deemed a clearing member within the extent specified in the Enforcement Rules.

(2) In cases where a settlement default by other clearing members has occurred before a compulsory withdrawn clearing member under [§15] closes out the entire quantity of cleared transactions pursuant to [§16] and the loss caused by such settlement default has not been finalized before the relevant cleared transactions are entirely closed out, the compulsory withdrawn clearing member shall be deemed a clearing member within the extent specified in the Enforcement Rules.

§21. Return and Succession of Contribution to OTC Derivatives JCF

(1) The Exchange shall return the OTC derivatives JCF contributed by the clearing member withdrawing its membership within twenty (20) days of the membership withdrawal day. Provided that, in cases where the relevant clearing member owes the Exchange any outstanding payment, the Exchange shall return the balance after first appropriating the fund for the payment of arrears.

(2) Notwithstanding the main sentence of paragraph (1), in the case of being deemed a clearing member pursuant to [§20], the contribution to the OTC derivatives JCF shall be returned within twenty (20) days from the date when the loss caused by a settlement default of other clearing member was finalized and fully compensated.

(3) In cases where the membership of clearing member is succeeded pursuant to [§18], it shall be deemed that the contribution made by that clearing member to the OTC derivatives JCF has been succeeded by the surviving or newly created company subsequent to the merger or by the company taking over the business.

Section 4. Conversion of Clearing Membership

§22. Request for Conversion of Clearing Membership and Conversion Criteria

(1) In cases where a general clearing member intends to convert its membership to a proprietary clearing member or a proprietary clearing member intends to convert its membership to a general clearing member, the relevant clearing member shall submit to the Exchange the request for conversion of membership according to the form specified in the Enforcement Rules (referred to as the “conversion of clearing membership” hereinafter in this Section).

(2) The proprietary clearing member that wishes to convert its membership to general clearing member shall satisfy the admission criteria of general clearing member pursuant to [§10].

§23. Review and Approval of Request for Conversion of Clearing Membership

(1) The provisions of [§9(3)] shall apply *mutatis mutandis* to the review of request for conversion of clearing membership.

(2) The request for conversion of clearing membership shall be approved by a resolution of the Board. In such cases, the conversion request may be approved while imposing specific conditions.

§24. Payment of Conversion Fee

A proprietary clearing member that obtained the approval for membership conversion to a general clearing member shall pay to the Exchange the amount (hereinafter referred to as the “conversion fee”) determined by subtracting the proprietary clearing member admission fee from the general clearing member admission fee as of the approval date.

§25. Cancellation and Notification of Conversion Approval and Conversion Date

(1) The validity of membership conversion shall be effective on the day (hereinafter referred to as “conversion date”) after when the clearing member that obtained the membership conversion approval completes the membership conversion procedures for clearing member that the Exchange specifies, including the implementation of conditions on conversion pursuant to the proviso to [§23(2)] and payment of conversion fee pursuant to [§24].

(2) In cases where the clearing member that obtained the membership conversion approval fails to fulfill the conditions on membership conversion or to complete the membership conversion procedures pursuant to paragraph (1) by the date specified by the Exchange, it shall be deemed that the relevant clearing member has withdrawn the membership conversion request.

(3) In cases where the membership conversion of clearing member has been finalized pursuant to paragraph (1), the Exchange shall inform such fact to other clearing members.

Section 5. Obligations of Clearing Members

§26. Setting aside of OTC Derivatives Joint Compensation Fund

(1) Each clearing member shall set aside the OTC derivatives JCF in the Exchange.

(2) The Exchange shall calculate the total amount to be jointly contributed by all clearing members in order to fulfil the settlement obligation in a timely manner on the day when a settlement default occurs by two (2) clearing members with the biggest settlement risk and a party specified in the Enforcement Rules under an extreme but plausible circumstance (hereinafter referred to as “total contribution amount of the OTC derivatives JCF”), on the basis of the last business day of every month or the date set forth in the Enforcement Rules (hereinafter referred to as “base date for calculation of OTC derivatives JCF”) according to the methods set forth in the Enforcement Rules. Provided that, in the case stipulated in the Enforcement Rules, it may temporarily exceed or fall short of the amount. (Amended on December 5, 2018)

(3) The Exchange shall calculate the amount of OTC derivatives JCF that each clearing member is required to contribute (hereinafter referred to as the “required OTC derivatives JCF contribution amount”) on the base date for calculation of OTC derivatives JCF in accordance with provisions of [§29]. (Amended on December 5, 2018)

(4) Each clearing member shall set aside the required OTC derivatives JCF contribution amount calculated according to paragraph (3) in the Exchange within the period specified in the Enforcement Rules counting from the base date for calculation of OTC derivatives JCF. In such cases, the amount of the OTC derivatives JCF set aside by each clearing member in the Exchange to meet the required OTC derivatives JCF contribution amount (hereinafter referred to as the “OTC derivatives JCF contribution amount”) shall not include the OTC derivatives JCF contribution amount that the Exchange allocates and manages separately to compensate the losses incurred by settlement defaults that already occurred, but shall include the gains or losses under the provisions of [§27(3)]. (Amended on December 5, 2018)

(5) Notwithstanding paragraphs (2) and (3), during the cap period noted in [§116], the Exchange shall not calculate the total contribution amount of the OTC derivatives JCF and the required OTC derivatives JCF contribution amount. (Amended on December 5, 2018)

(6) When calculating the total contribution amount of the OTC derivatives JCF and the required OTC derivatives JCF contribution amount of a clearing member, the Exchange shall notify the amounts to the clearing member without delay. (Amended on December 5, 2018)

§27. Contribution Methods, Management and Operation, etc. of OTC Derivatives JCF

- (1) Clearing members shall make contribution to OTC derivatives JCF with cash, or government bonds or monetary stabilization bonds listed on the KOSPI Market.
- (2) In cases where a contribution is made with government bonds or monetary stabilization bonds, such contribution shall be made in such manner that the Exchange establishes a right of pledge on the government bonds or monetary stabilization bonds that are electronically registered in proprietary account books of account management institutions, etc. of clearing members opened in the Korea Securities Depository as prescribed in the Act on Electronic Registration of Stocks, Bonds, Etc. (hereinafter referred to as “the Electronic Securities Act”), and the withdrawal therefrom shall be made by way of deleting the relevant right of pledge. (Amended on August 28, 2019)
- (3) The proceeds resulted from the management of the cash contribution to the OTC derivatives JCF shall be credited to the principal in proportion to the cash contribution of each clearing member contributing to the OTC derivatives JCF as of the end of each quarter.
- (4) The Exchange shall accumulate, manage and invest the OTC derivatives JCF separately from the joint compensation funds accumulated to compensate the loss caused by the settlement defaults in the KOSPI Market, KOSDAQ Market and Derivatives Market (referring to the joint compensation funds accumulated pursuant to [§23] of the Membership Regulation: hereinafter referred to as the “exchange joint compensation funds”) and other assets of the Exchange.
- (5) The matters concerning management and operation of the OTC derivatives JCF and other necessary matters shall be stipulated in the Enforcement Rules.

§28. Re-contribution to OTC Derivatives JCF subsequent to Expiry of Cap Period

- (1) When the cap period noted in [§116] has terminated, the Exchange may request clearing members to make re-contributions to the OTC derivatives JCF as soon as calculating the total contribution amount of the OTC derivatives JCF to be re-contributed (hereinafter referred to as the “total re-contribution amount of the OTC derivatives JCF”) and the required OTC derivatives JCF contribution amount to be re-contributed (hereinafter referred to as the “required OTC derivatives JCF re-contribution amount”) in order to compensate the losses incurred by a new settlement default of clearing members on the expiration date of the cap period. (Amended on December 5, 2018)
- (2) Any clearing member that is requested by the Exchange to make a re-contribution to the OTC derivatives JCF pursuant to paragraph (1) shall set aside the required OTC derivatives JCF re-contribution amount in the Exchange by 12:00 noon of the business day following the date of request for re-contribution. (Amended on December 5, 2018)
- (3) Matters on the calculation of the total re-contribution amount of the OTC derivatives JCF and the required OTC derivatives JCF re-contribution amount under paragraph (1), and

other necessary matters shall be stipulated in the Enforcement Rules. (Amended on December 5, 2018)

§29. Clearing Member's Required OTC Derivatives JCF Contribution Amount

The required OTC derivatives JCF contribution amount shall be the sum of the amounts noted in each of the following subparagraphs. In such cases, if there is a fractional amount less than KRW 10, amounts less than KRW 5 shall be disregarded and amounts of KRW 5 or more shall be rounded up to KRW 10. (Amended on June 3, 2014; November 30, 2016; December 5, 2018; September 17, 2025)

1. Basic contribution: KRW 100 million; and
2. Variable contribution: The amount calculated by multiplying the ratio of the average daily member net exposure margin of each clearing member for the one (1) year retroactive from the base date for calculation of OTC derivatives JCF to the total amount of average daily net exposure margin (when the net exposure margin is calculated in foreign currencies, the account calculated shall be converted into Korean won as stipulated in the Enforcement Rules; the same hereinafter in this Subparagraph and [§31(1)]) of each clearing member obliged to make contribution to OTC derivatives JCF for the one (1) year retroactive from the base date for calculation of OTC derivatives JCF by the amount obtained by subtracting the basic contribution under subparagraph 1 from the total contribution amount of the OTC derivatives JCF under [§26(2)] [if the amount is less than zero ("0"), it shall be zero ("0")].

§30. Maintenance of Admission Criteria for Clearing Members

Each clearing member shall maintain the clearing member admission requirements noted in [§10(1)].

§31. Maintenance of Minimum Risk-based Equity Capital

(1) Clearing members shall maintain the equity capital (referring to the bank equity capital in the case of banks concurrently engaged in the financial investment business and the non-bank equity capital in the case of non-bank financial investment companies; the same hereinafter) no less than the amount obtained by multiplying the ratio specified in the Enforcement Rules by the member net exposure margin (hereinafter referred to as "minimum risk-based equity capital"). In such cases, in the event that the equity capital of a clearing member that acquired the membership by being subject to [§11(1)2*ap*] is less than KRW 50 billion, the equity capital of the relevant member shall be deemed to be KRW 50 billion. (Amended on June 3, 2014)

(2) The Exchange may impose an extra margin to the clearing member that fails to preserve the minimum risk based equity capital.

(3) The imposition of extra margin pursuant to paragraph (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§32. Compliance with Acts and Regulations

Clearing members shall comply with the disciplinary actions and other measures taken pursuant to the Act and this Regulation.

§33. Principles of Due Diligence and Good Faith

Clearing members in clearing participation shall observe due care and diligence and shall not engage in any actions that violate the principle of good faith.

§34. Payment of Clearing Fees

(1) With regard to clearing, clearing members shall pay the clearing fee that is determined by a resolution of the Board.

(2) Clearing fees shall be determined by taking into account the expenditures such as the minimum annual cost of operation necessary for the Exchange to be engaged in the clearing of financial investment product transactions, expenses necessary for the future expansion of physical facilities and size of risk born as a company clearing the financial investment product transactions.

§35. Reporting of Financial Conditions

(1) Pursuant to the provisions of the Enforcement Rules, clearing members shall submit to the Exchange the report on equity capital and capital ratio pursuant to [§11], business report, financial statements and documents related to financial conditions stipulated in the Enforcement Rules. (Amended on June 3, 2014; May 27, 2015)

(2) In cases where the equity capital or capital ratio remains below the financial requirements noted in [§11], or there is concern that the equity capital or capital ratio may decline below the financial requirements noted in [§11], the clearing member shall report such details to the Exchange within three (3) business days of such happening. In such cases, the clearing member shall submit to the Exchange the daily report on the amount of asset in trust, amount receivable from client, changes in valuation of loss or gain, and other matters that the Exchange deems necessary. (Amended on June 3, 2014)

(3) The Exchange may request the clearing member falling under paragraph (2) to take necessary actions such as increase of capital, disposal of assets and other actions that the Exchange deems necessary. In such cases, the clearing member shall report the outcome of implementing the requested action to the Exchange without delay. (Amended on June 3, 2014)

(4) In cases where, pursuant to Article 2 of the Act on the Structural Improvement of the Financial Industry or Article 2 of the Depositor Protection Act, it has been determined as an insolvent financial company or an insolvency-threatened financial company, or it has been subject to timely corrective measures or grant of grace period for timely corrective measures pursuant to the Act or the “Act on the Structural Improvement of the Financial Industry”, the clearing member shall report the matters on such fact to the Exchange without delay.

(5) In addition to paragraphs (1) through (4), the matters necessary for the management of financial soundness of clearing members shall be stipulated in the Enforcement Rules.

§36. Reporting to the Exchange

(1) In the event of any of the following subparagraphs, the clearing member shall report the relevant facts or decisions (referring to the resolutions made at the general meeting of shareholders, the board of directors, or the decision of the executive officer of a clearing member) to the Exchange without delay.

1. Case of becoming insolvent or possibly becoming insolvent;
2. Case where a bill or check issued is dishonored or the transaction with the banks has been suspended or prohibited;
3. Case where the request for commencement of rehabilitation procedures was made, the decision on the request for commencement of rehabilitation procedures has been made or the decision was made to cancel the commencement of rehabilitation procedures (in case of a foreign company, it shall include the case where there is an equivalent incident pursuant to the foreign laws).
4. Case where there is an application for bankruptcy;
5. Case where the cause of dissolution has occurred;
6. Case where the measures such as the cancellation of authorization for investment brokering, investment dealing or collective investment business or measures such as the suspension of investment brokering, investment dealing or collective investment business have been imposed;
7. Case of suspending, resuming or closing down the business of headquarters or branch offices;
8. Case where there has been a merger, discontinuation of business, or transfer or acquisition of the whole or a main part of business;
9. Case where a significant loss has occurred or it became difficult to carry out the normal business operation due to a natural disaster or electronic system failure;

10. Case where there has been a change in the business objectives or equity capital (in case of branch office of foreign investment brokerage or foreign investment dealing company located in Korea, the operating fund of branch office in Korea);

11. Case where the trade name has been changed;

12. Case where the registered director (in case of branch office of foreign investment brokerage or foreign investment dealing company located in Korea, it refers to the representative of that office: the same hereinafter) has been appointed or dismissed;

13. Case of becoming part of a lawsuit that has a significant impact on the business operation;

14. Case of being imposed of disciplinary action because of tax delinquency or being imposed of disciplinary action because of infringing the laws and decrees related to the taxation;

15. Case where the clearing member and its officers have been disciplined as a result of violating the measures taken by the administrative agencies pursuant to the laws and decrees;

16. In relation to the clearing of OTC derivatives trades, case of having acquired or withdrawn the clearing membership of foreign CCP, or case where the foreign CCP has imposed such measures as the discontinuation of request for assumption of obligation;

17. Case where the board of directors of a clearing member has made the decision to enter into the business other than the investment dealing of OTC derivatives (in cases where the clearing member is a branch of foreign financial investment company, it shall include the board of directors of the relevant foreign financial investment company); and

18. In addition, case where an incident that has considerable influence on the fulfillment of obligations of the relevant clearing member has occurred.

(2) The Exchange may administer the clearing member falling under any subparagraph (excluding subparagraphs 10 through 12 and subparagraph 17) of paragraph (1) by designating the relevant member as a closely monitored member.

(3) In cases where the matter to be reported pursuant to paragraph (1) is the matter to be disclosed pursuant to the KOSPI Market Disclosure Regulation or KOSDAQ Market Disclosure Regulation, the reporting of the relevant matter pursuant to paragraph (1) may be replaced by the disclosure of the relevant matter.

(4) In cases where the Exchange requests the clearing member to report the transaction details of OTC derivatives trades because it deems that the transaction details is necessary for the purpose of managing the risks associated with clearing operation, the clearing member shall submit the report to the Exchange without delay.

Section 6. Actions against Clearing Members

§37. Request for Information, etc.

(1) The Exchange may request a clearing member to submit a report or information on the clearing operations or the status of assets of a clearing member, and in cases where the settlement default pursuant to [§101(1)] has occurred, the Exchange may carry out an investigation into the clearing operations or status of asset through correspondence, on-site investigation or other methods in case of any of the following subparagraphs:

1. Case where there is a need to verify the compliance with this Regulation and the actions taken pursuant to this Regulation, and clearing member's obligations pursuant to this Regulation;
2. Case where there is a need to verify the financial conditions of the clearing member; and
3. In addition, case where it deems necessary for a reliable clearing operation.

(2) In the case of receiving the request for information pursuant to paragraph (1), the clearing member shall comply with the request without delay.

§38. Request for Corrections

(1) In cases where it deems that the operation or the asset status of a clearing member is inappropriate for the objectives of financial investment product clearing house or in view of the provisions of this Regulation, the Exchange may request the clearing member to make necessary corrections.

(2) Clearing members shall report to the Exchange without delay the results of the action taken according to the request for correction made pursuant to the provisions of paragraph (1).

§39. Grounds for taking Measures

In cases where a clearing member or its officers or employees fall under any of the following subparagraphs, the Exchange may take the measures under the provisions of [§40]:

1. Case where it has obtained clearing membership or has been admitted as a clearing member pursuant to [§8] using the illegal means;
2. Case where it has failed to fulfill the settlement obligation or deposit, deliver or pay the cash or securities obliged to deposit, deliver or pay as specified by the Exchange;
3. Case of failing to maintain the admission requirements of clearing member pursuant to [§10];

4. Case of defying the measures taken pursuant to this Regulation;
5. Case of non-fulfillment of settlement obligations relating to the transactions conducted in the equity and derivatives markets operated by the Exchange and in other markets (including the foreign markets);
6. Case where, pursuant to Articles 420 and 421 of the Act and other financial statutes, it has been subject to disposition of complete or partial suspension of operation of investment trading business, investment brokerage business or collective investment business (in case of branch office, etc. of foreign financial investment entities, etc., it shall include the case where the relevant foreign financial investment entities, etc. have been subject to the disposition of complete or partial suspension of any business operation equivalent to the investment trading business, investment brokerage business or collective investment business);
7. Case of violating relevant statutes (in the case of foreign investment traders or foreign investment brokers, it shall include the relevant foreign statutes), dispositions taken by administrative agencies pursuant to such statutes, or this Regulation;
8. Case of making a false description or omitting descriptions in the reports, materials, etc. submitted to the Exchange pursuant to the Act or this Regulation, or neglecting to submit the reports, materials, etc.; and
9. Case of interfering with or rejecting the investigation conducted by the Exchange pursuant to [§37] or not cooperating by refusing to submit materials, etc.

§40. Measures against Clearing Members

(1) In cases where an act of a clearing member falls under any of the subparagraphs of [§39], the Exchange may take measures noted in each of following subparagraphs against the relevant clearing member:

1. Expulsion from clearing membership;
2. Suspension of whole or a part of clearing membership for a period of up to six (6) months;
3. Suspension of full or a part of clearing participation for a period of up to six (6) months;
4. Imposition of a fine less than KRW 1 billion;
5. Notice of warning; and
6. Notice of caution.

(2) In cases where an act of a clearing member falls under any of the subparagraphs of [§39], the Exchange may request the relevant clearing member to take disciplinary measures noted in any of the following subparagraphs against the relevant officer and employee:

1. Suspension from duties, warning or caution against an officer; and
2. Suspension from office, wage cut, reprimand, warning or caution against an employee.

(3) The measures taken against a clearing member or request for disciplinary measures against officers or employees of a clearing member pursuant to paragraphs (1) and (2) shall be conducted by a resolution of the Board. Provided that this provision shall not apply to the case of measures and request for disciplinary measures noted in each of the following subparagraphs, and the measures or request for disciplinary measures noted in subparagraph 4 shall be decided by the Market Oversight Commission pursuant to Article 402 of the Act (hereinafter referred to as “the Market Oversight Commission”).

1. Measures under subparagraph 3 of paragraph (1) taken under the grounds noted in subparagraphs 1 through 6 of [§39];
2. Measures under each subparagraph (excluding subparagraph 3) of paragraph (1) taken under the grounds noted in subparagraphs 4 and 6 of [§39];
3. Request for issuance of notice of warning or attention to officers or employees under the grounds noted in subparagraphs 1 through 6 of [§39]; and
4. Request for measures under in paragraph (1) and request for disciplinary action noted in paragraph (2) taken for the reasons noted in subparagraphs 7 through 9 of [§39].

(4) In cases where a clearing member fails to pay the penalty imposed pursuant to subparagraph 4 of paragraph (1) by the payment due date, the Exchange shall impose an additional charge calculated by applying the rate of additional charges under Article 382 of the Enforcement Decree of the Act to the outstanding penalty amount for the period beginning from the day following the payment due date ending on the day preceding the payment date.

(5) In the case of measures under subparagraphs 2 through 6 of paragraph (1), the Exchange may concurrently make the request for disciplinary measures under the provisions of paragraph (2).

§41. Deferment or Termination, etc. of Measures against Failures to meet Financial Requirements

(1) In cases where it is judged that a clearing member is able to meet the financial requirements under [§11] within a short period of time through capital increase or sale of

assets, the Exchange may defer the measures to be taken pursuant to the provisions of [§40(1)] for a specified period of time by a resolution of the Board.

(2) When it is confirmed that a clearing member meets the financial requirements during the period of suspension of clearing membership of clearing participation under subparagraph 2 or 3 of [§40(1)], the Exchange may terminate the action taken against the relevant clearing member by a resolution of the Board.

(3) Notwithstanding paragraph (1), if it is judged that it is clearly difficult for a clearing member to resolve the causes for the failure to meet the financial requirements during the deferment period of measures against the clearing member, the Exchange may terminate the deferment decision under paragraph (1) without delay and take the measures under [§40(1)] by a resolution of the Board.

(4) In the case of taking the measures under [§40(1)] action against a clearing member in relation to the failure to meet the financial requirements, the Exchange may separately grant a period for improving financial conditions.

§42. Procedures, etc. for taking Measures against Clearing Members

(1) In cases where the grounds for taking measures under [§39] have occurred, the Exchange shall notify such fact to the relevant clearing member.

(2) The clearing member may file an official objection within seven (7) days of receiving the notice of grounds for taking measures pursuant to paragraph (1). In such cases, the clearing member falling under the grounds for the measures under subparagraph 3 of [§39] due to the failure to meet the financial requirements under subparagraphs 1 of [§10(1)] shall attach a plan for improving financial conditions when submitting the opinion statement.

(3) The Exchange shall process the measures against clearing members within one (1) month from the date on which the notification of the occurrence of the grounds for taking measures was made pursuant to paragraph (1).

(4) In cases where a clearing member who have been notified of the measures under [§40] has an objection, the clearing member may file an official objection within one (1) month from the date of the receipt of such notification. In such cases, the Exchange shall process the relevant objection within one (1) month from the date of the receipt of the objection, unless there is any special reason.

(5) No clearing member can file an objection again for the matter that has been processed through filing of official objections under paragraph (4).

(6) Matters necessary concerning the plan for improving financial conditions under paragraph (2) and the official objection under paragraph (4) shall be stipulated in the Enforcement Rules.

(7) Notwithstanding the provisions of paragraphs (1) through (6), in the case of the procedures and the criteria and delegation of authority in taking an action or requesting to

take an action pursuant to [§40(3)4], the Market Oversight Regulation shall apply *mutatis mutandis* thereto according to its nature.

§43. Summary Fines

(1) In cases where, as a minor violation among miscellaneous illegitimate conducts such as noncompliance with reporting obligation, a speedy processing of case deems necessary, the Exchange may impose a summary fine of less than KRW 2 million.

(2) In cases where the clearing member does not respond to the imposition of summary fines noted in paragraph (1) or fails or neglects to pay the summary fines, the Exchange may take an action or request to take an action pursuant to [§40].

(3) The imposition of summary fines pursuant to paragraph (1) and measures pursuant to paragraph (2) shall be decided by the resolution of the Market Oversight Commission. Provided that the imposition of summary fines shall be delegated to the Chairman of Market Oversight Commission.

(4) Matters necessary for the imposition of summary fines and other necessary matters shall be stipulated in the Enforcement Rules.

§44. Notification of Measures

In the case of expelling a clearing member from the membership, suspending the whole or a part of entitlements of a clearing member or suspending a clearing member from clearing participation, or revoking any of the measures taken, the Exchange shall notify other clearing members of such fact without delay.

CHAPTER IV. ASSUMPTION OF OBLIGATIONS, ETC.

Section 1. Opening of Clearing Account, etc.

§45. Clearing Accounts

(1) With respect to the cleared transactions, the Exchange shall open an account with each clearing member for the record and management of the member margin, settlement amount, etc. that are received from or delivered to the clearing member (hereinafter referred to as the “clearing account”).

(2) The clearing account noted in paragraph (1) shall be classified into the account for recording of the member margin and settlement amount in clearing member’s name and account (hereinafter referred to as the “proprietary clearing account”) and the account for recording and managing the settlement amount under clearing member’s name (separately

for each client) and accountable to each client (hereinafter referred to as the “client clearing account”). (Amended on November 30, 2016)

(3) In cases where a clearing member conducts the clearing participation for the clearing eligible transactions executed in the name of head office, etc. of the foreign financial investment business entity, etc. stipulated in [§7-2(3)], the margins and settlement amounts related to the cleared transactions executed through the clearing participation shall be managed by the client clearing accounts. [November 30, 2016]

(4) Each clearing member can open multiple clearing accounts. In such cases, the multiple client clearing accounts shall be opened by the request of the clients to clearing member in advance. (Amended on May 27, 2015; November 30, 2016)

(5) Method of an opening clearing account and other necessary matters shall be stipulated in the Enforcement Rules.

§46. Member’s Account for Clients

(1) With respect to the cleared transactions, a clearing member shall open an account for each client (hereinafter referred to as the “member’s account for client”) for the record and management of the client margins, settlement amounts, etc. that are received from or delivered to the client (in cases where the clearing member is the branch office, etc. of a foreign financial investment business entity, etc., the head office, etc. of the relevant clearing member shall be included; the same hereinafter in this Article). (Amended on November 30, 2016)

(2) The member’s account for client can be opened in multiple numbers. (Amended on May 27, 2015)

(3) The methods of opening a member’s account for client and other necessary matters shall be stipulated in the Enforcement Rules.

Section 2. Assumption of Obligations

§47. Trade Confirmation and Request for Assumption of Obligations

(1) Each clearing member may request the Exchange to assume the obligations for its eligible proprietary clearing transactions or eligible client clearing transactions (hereinafter referred to as “request for assumption of obligation”).

(2) The request for assumption of obligation shall be made by the both sell-side and buy-side clearing members of the clearing eligible transaction. (Amended on May 27, 2015)

(3) In the case of intending to request the assumption of obligation, both parties to the clearing eligible transactions shall confirm the effectual execution of the relevant

transaction in advance (hereinafter referred to as the “trade confirmation by trading parties”). (Amended on May 27, 2015)

(4) The trade confirmation by trading parties shall be made using the trade confirmation system specified in the Enforcement Rules (hereinafter referred to as the “trade confirmation system”).

(5) The request for assumption of obligation shall be made by inputting the request using the trade confirmation system into the Exchange OTC derivatives settlement system pursuant to the stipulation in the Enforcement Rules.

§48. [Deleted on May 27, 2015]

§49. Hours for Requesting Assumption of Obligations, etc.

(1) The hours for requesting the assumption of obligation shall be from 09:00 to 17:00. (Amended on May 27, 2015)

(2) In cases where a clearing member intends to cancel the request for assumption of obligation, both parties of the clearing eligible transaction shall request the Exchange to cancel the request for assumption of obligation before the registration of the assumption of obligation pursuant to [§50(2)]. (Amended on May 27, 2015)

(3) In cases where it deems necessary for a reliable and efficient clearing operation, the Exchange may change the hours noted in paragraph (1). (Amended on May 27, 2015)

§50. Registration of Assumption of Obligations

(1) In cases where both clearing members of the clearing eligible transaction that is subject to the request for assumption of obligation satisfy each requirement of the following subparagraphs, the Exchange shall assume the obligation for the relevant clearing eligible transaction. (Amended on October 21, 2015)

1. The relevant transaction shall satisfy the requirements noted in [§5(1)];

2. The member margin pursuant to [§81(3)] shall be deposited;

3. [Deleted on October 21, 2015]

4. In cases where the assumption of obligation is requested after the deadline stated in [§66(2)], the net cash settlement amount shall be delivered.

(2) The Exchange shall register the clearing eligible transactions for which the requirements noted in paragraph (1) have been satisfied, in the OTC derivative clearing system of the Exchange (hereinafter referred to as “registration of the assumption of obligation”) and notify this to the clearing members.

(3) The assumption of obligation becomes effective at the time of the registration of the assumption of obligation.

(4) In cases where the clearing eligible transaction that is subject to the request for the assumption of obligation does not meet any of the requirements noted in paragraph (1), the Exchange shall refuse the request for the assumption of obligation and notify this to the relevant clearing member.

(5) Notwithstanding paragraph (1), the Exchange may postpone or refuse the registration of the assumption of obligation if it deems necessary for a reliable clearing operation as stipulated by the Enforcement Rules. (Amended on September 17, 2025)

(6) The notification method and detailed matters for the registration of the assumption of obligation or the refusal of the registration and other necessary matters shall be stipulated in the Enforcement Rules.

(Wholly amended on May 27, 2015)

§50-2. Offsetting of Cleared Transactions

(1) In cases where two cleared transactions in a same account of a clearing member meet the requirements specified in the Enforcement Rules including the case where the two cleared transactions have opposite directions in payment and receipt of fixed interest amount, the Exchange may offset the relevant two cleared transactions if the clearing member requests.

(2) In the case of offsetting the cleared transactions in the client clearing account, the client shall request for the offsetting of cleared transactions to the clearing member and the clearing member shall request according to paragraph (1). (Amended on November 30, 2016)

(3) The offsetting request, offsetting method and other necessary matters shall be stipulated in the Enforcement Rules.

[May 27, 2015]

§51. Registration Period for Assumption of Obligations

The Exchange may have a clearing member complete the registration of assumption of obligations for each clearing eligible transaction within a specified period of time from the trade execution day as stipulated in the Enforcement Rules. (Wholly amended on November 30, 2016)

§52. Methods of Assumption of Obligations

(1) To assume the obligation pursuant to [§50(1)], the Exchange shall deem that the new cleared transaction noted in each of the following subparagraphs has taken place. In such cases, the request for assumption of obligation shall be deemed that the intention to terminate the clearing eligible transaction by agreement on the condition that the cleared transaction takes place was expressed to the counterparty clearing member, and notwithstanding the details of the agreement between the relevant parties, the relevant parties shall not be obligated to pay any fees, damages or other money in connection with the termination by agreement. (Amended on November 30, 2016)

1. Cleared transactions where, between the clearing member that is one party to the clearing eligible transaction and the Exchange, the position of Exchange is the same as the position of the clearing member that is counterparty to such clearing eligible transaction; and

2. Cleared transactions where, between the clearing members who are counterparties to the clearing eligible transaction and the Exchange, the position of Exchange is the same as the position of clearing member that is one party to such clearing eligible transaction.

(2) In cases where a cleared transaction takes place pursuant to paragraph (1), the clearing eligible transaction and the obligation (excluding those noted in each of the following subparagraphs) arising from such transaction shall cease to exist at the same time as the cleared transaction takes place. (Amended on November 30, 2016)

1. Payment obligations for fixed rate and floating rate interest amounts that are due and payable when the cleared transaction took place; and

2. In addition to subparagraph 1, the obligations outstanding when the cleared transaction takes place.

(3) In cases where a client clearing transaction takes place pursuant to paragraphs (1), it shall be deemed that a new transaction having the same details as the relevant client clearing transaction takes place between general clearing member and its client. In such cases, it shall be deemed that the general clearing member has concluded a transaction having the same details as the relevant client clearing transaction with the client as an opposite party to the client clearing transaction with the Exchange. (Amended on November 30, 2016)

(4) In cases where the cleared transaction noted in paragraph (1) takes place, the parties to clearing eligible transaction, even if one party to clearing eligible transaction has the reason (including existence of the transaction, any defect or flaw in expression of intention or other grounds) to take action against the counterparty in relation to the clearing eligible transaction or liability or claims related thereto, shall be prohibited to take any action against the Exchange.

(5) In cases where the rehabilitation procedures have commenced against the Exchange and the parties to the clearing eligible transaction that accomplish the assumption of obligation pursuant to Article 323-10(1)2 of the Act, the determination of clearing eligible transactions, receipt of settlement amount and other matters about the clearing and settlement shall not be

subject to invalidation, termination, cancellation and denial in compliance with the procedures prescribed in Article 120(2) of the Debtor Rehabilitation and Bankruptcy Act.

§53. Specifications of Cleared Transactions

(1) Cleared transaction shall be subject to this Regulation and the ISDA Definitions; ISDA Master Agreement and any other agreement entered between the parties (including the trade confirmation between the parties) that are not specified in this Regulation shall not apply to the cleared transaction.

(2) The specifications of the cleared transactions, in addition to those specified in [§52], shall be stipulated in the Enforcement Rules.

CHAPTER V. CLIENT CLEARING

§54. Client Clearing Agreement

(1) In the case of intending to accept the clearing submission from a client, general clearing member shall enter into a written Client Clearing Agreement that states the matters noted in each of the following subparagraphs. In such cases, the details of the Client Clearing Agreement shall not contradict the Act, the Enforcement Decree of the Act and this Regulation. (Amended on November 30, 2016)

1. Names of the general clearing member and the client;
2. Matters about the transaction that takes place pursuant to the former part of [§52(3)] between a general clearing member and a client and the matters about the claim and liability resulting thereafter;
3. Terms of the Client Clearing Agreement;
4. Range of clearing eligible transactions, for which the clearing is submitted;
5. Method and deadline of settlement;
6. Matters about the margin that the client is required to deposit with general clearing member;
7. Matters about the use of substitute securities and foreign securities;
8. In the event that the client fails to fulfill the settlement obligation to the general clearing member, matters about restriction on request for assumption of obligation and matters about the action to be taken by general clearing member, including the disposal

of Korean won, foreign currency, securities and others that the client paid or deposited with general clearing member;

9. Matters about the protection of Korean won, securities and others that the client has paid or deposited with the general clearing member, in the event that the rehabilitation procedures or bankruptcy procedures of general clearing member have been commenced pursuant to the Debtor Rehabilitation and Bankruptcy Act;

10. Matters about the responsibilities related to the expenses, including the clearing service fees; and

11. Additional matters that are necessary for the clearing submission.

(2) When intending to enter into a Client Clearing Agreement or to change the details thereof, general clearing member shall notify such details to the Exchange at least ten (10) business days in advance.

(3) In the case of entering into a Client Clearing Agreement pursuant to paragraph (1), general clearing member shall obtain the written pledge in accordance with the form specified in the Enforcement Rules from the client and submit it to the Exchange without delay.

(4) In the case of intending to enter into a Client Clearing Agreement noted in paragraph (1), general clearing member shall verify the fact if the person intending to become the client meets the prerequisites noted in [§55].

(5) When entering into the Client Clearing Agreement with the client, general clearing member shall obtain the written confirmation of matters stipulated in the Enforcement Rules from the client and preserve it.

§55. Prerequisites of Clients

Any entity intending to submit the request for assumption of obligation of clearing eligible transaction to a general clearing member shall meet the prerequisites noted in each of the following subparagraphs: (Amended on November 30, 2016)

1 To be an entity that has obtained the authorization for financial investment business pursuant to Article 12(1) of the Act or the person who falls under any of the Subparagraphs of Article 14-2(1) of the Enforcement Decree of the Act;

2. To be equipped with facilities such as electronic facilities that are necessary to perform the tasks as a client in a stable and reliable manner; and

3. To have human resources sufficient to perform the tasks as a client in a stable and reliable manner.

§56. Termination of Client Clearing Agreement

(1) In cases where the general clearing member voluntarily withdrew its membership pursuant to [§14] or is deemed withdrawn from its membership pursuant to [§15], it shall be deemed that the Client Clearing Agreement has been mandatorily terminated.

(2) When intending to terminate the Client Clearing Agreement with the agreement of the client, general clearing member shall notify such fact to the Exchange at least ten (10) business days in advance.

(3) The termination of Client Clearing Agreement shall become effective at the time noted in each of the following subparagraphs:

1. In the case of mandatory termination, at the time when the cause of termination has occurred;

2. In the case of termination by agreement, on the date when the relevant parties have agreed. Provided that, in cases where the date agreed by the relevant parties is within ten (10) business days from the day when the Exchange has received the notification of termination by agreement, the termination shall become effective on the day when ten (10) business days has elapsed from the receipt date of the notification of agreement.

§57. Validity of Written Pledge

(1) The written pledge submitted to the Exchange pursuant to [§54(3)] shall become invalid at the time when the termination of client clearing agreement becomes effective pursuant to [§56(3)].

(2) Notwithstanding paragraph (1), it shall be deemed that the written pledge shall continue to be valid for the rights and obligations of the cleared transaction that took place before the written pledge has become invalid.

§58. Preservation of Client Clearing Agreement Documents

General clearing member shall preserve the documents related to the Client Clearing Agreement pursuant to [§54(1)] for the period specified in Article 60 of the Act. (Amended on June 3, 2014)

§59. Fiduciary Duty and Confidentiality, etc. of General Clearing Member

(1) In the case of receiving the request for assumption of obligation from the client, general clearing member shall accomplish the tasks entrusted with due care and diligence.

(2) General clearing member shall keep the confidentiality of the information obtained in the course of receiving the request for assumption of obligation, including the transaction

details and financial condition of client, and shall be prohibited to use or let others use such information for its own benefit.

§60. Methods of receiving Entrustment of Request for Assumption of Obligations

(1) General clearing members shall be submitted with the request for assumption of obligation via client's computer or other electronic communication methods similar thereto (hereinafter referred to as the "electronic communication method").

(2) Matters necessary for the method for submitting the request for assumption of obligation noted in paragraph (1) shall be stipulated in the Enforcement Rules.

§61. Verification of Details of Entrustment of Request for Assumption of Obligations

When having received the request for assumption of obligations from a client, general clearing members shall verify the details of the request for assumption of obligations specified in the Enforcement Rules.

§62. Rejection of Entrustment

(1) In the event of any of the following subparagraphs, general clearing members shall reject the request for assumption of obligations: (Amended on May 27, 2015; November 30, 2016)

1. Case of receiving a request for assumption of obligations from a client whose assessed value of the asset deposited with the general clearing members falls short of the amount of client margins;
2. Case of receiving a request for assumption of obligations from the client that has failed to fulfill the settlement obligation; and
3. Case of receiving a request for assumption of obligations for the transaction that does not fall under the clearing eligible transaction noted in [§5(1)].

(2) In the case of any of the following subparagraphs, general clearing members may turn down the request for assumption of obligations:

1. Case where it deems inappropriate to accept the request for assumption of obligations in view of such facts as the financial conditions and the size of cleared transactions of the client; and
2. Case where it deems necessary for the protection of public interests or market order.

(3) In the case of intending to reject the request for assumption of obligations pursuant to paragraph (2), general clearing members shall establish rational criteria for the reason for rejection.

(4) When rejecting the request for assumption of obligations, general clearing members shall record the reason for such rejection and shall notify the client and the Exchange of such fact without delay.

§63. Delegation of entrusted Tasks, including Settlement

(1) Of the tasks specified in the client clearing agreement, general clearing members may delegate the tasks noted in each of the following subparagraphs to the Exchange:

1. The receipt and delivery of net cash settlement amount of client; and
2. The receipt and delivery of client margin (including the additional margin).

(2) When intending to delegate the tasks noted in paragraph (1) to the Exchange, general clearing members shall enter with the Exchange a task delegation agreement in accordance with the forms specified in the Enforcement Rules (hereinafter referred to as “task delegation agreement”).

CHAPTER VI. SETTLEMENT OF CLEARED TRANSACTIONS

Section 1. Settlement between a Clearing Member and the Exchange

§64. Daily Settlement and Settlement Rates

(1) For each cleared transaction per clearing member and per clearing account, the Exchange shall conduct the daily settlement based on the net present value determined using the settlement rate.

(2) The settlement rate noted in paragraph (1) shall be the interest rate that the Exchange determines and publishes for the maturities specified in the Enforcement Rules (hereinafter referred to as the “rate based maturity”) on each business day.

(3) When it deems necessary for the determination of settlement rate, the Exchange may request the clearing member to submit the rate by specifying the rate based maturity. In such cases, the clearing member shall respond to the request without delay.

(4) Matters concerning the determination and publication of the settlement rate, calculation of net present value and other necessary matters shall be stipulated in the Enforcement Rules.

§65. Receipt and Delivery of Daily Net Settlement Amount

(1) For each cleared transaction, the clearing member shall deliver to and receive from the Exchange the amount noted in each of the following subparagraphs in the settlement currency of the relevant cleared transaction on each business day: (Amended on October 21, 2015; November 30, 2016)

1. The amount equivalent to the net present value of the day of the cleared transaction for which the Exchange registered the assumption of obligation on the day (hereinafter referred to as the “net settlement amount of the day”);

2. The amount (hereinafter referred to as the “renewed net settlement amount”) determined by subtracting the net present value of previous business day (hereinafter referred to as the “net present value of the previous day”) from today’s net present value for other cleared transactions;

3. The interest (hereinafter referred to as the “price alignment interest”) incurred as a result of delivery and receipt of net settlement amount;

4. In cases where the next business day is the interest payment day, the difference (hereinafter referred to as the “coupon”) in the interests exchanged between the fixed rate payer and floating rate payer; and

5. The amount (hereinafter referred to as the “unrealized interest difference”) calculated by subtracting the unrealized interest on the previous business day from the unrealized interest on the day. Provided that the unrealized interest difference shall be delivered and received only when the clearing eligible transactions are KRW OIS transactions. [September 17, 2025]

6. The negotiated settlement amount. Provided that, in cases where the assumption of obligation is registered after the effective date of the clearing eligible transaction, the upfront fee amount is delivered and received between parties of the clearing eligible transaction. .

(2) The calculation of the net settlement amount of the day, renewed net settlement amount, price alignment interest, coupon and unrealized interest difference, and other necessary matters shall be stipulated in the Enforcement Rules. (Amended on September 17, 2025)

Section 2. Net Settlement and Settlement Deadline

§66. Determination of Net Cash Settlement Amount and Settlement Deadline

(1) The Exchange shall fix the balance (hereinafter referred to as the “net cash settlement amount”) resulting from netting the total amount payable and total amount receivable in the net settlement amount of the day, renewed net settlement amount, price alignment interest, coupon, unrealized interest difference and negotiated settlement amount for each cleared transaction with the same currency, date, deadline and floating interest rate for settlement,

as the settlement amount to be delivered and received between the Exchange and the clearing members. (Amended on November 30, 2016; September 17, 2025)

(2) The settlement deadline of net cash settlement amount noted in paragraph (1) shall be 16:00 on the day after the calculation day of net cash settlement amount.

(3) The Exchange shall pay the net cash settlement amount if the net cash settlement amount of clearing member is larger than zero and shall receive the net cash settlement amount if the net cash settlement amount of clearing member is less than zero.

(4) In cases where it deems necessary for a reliable clearing operation, the Exchange may change the settlement date and settlement deadline noted in paragraph (2).

(5) The calculation method of net cash settlement amount noted in paragraph (1) shall be stipulated in the Enforcement Rules.

§67. Notification of Settlement Details

The Exchange shall notify the details of net cash settlement amount determined pursuant to [§66(1)] (hereinafter referred to as the “settlement details”) to the clearing member by way of transmitting them to the Member OTC derivatives settlement system or Member OTC derivatives settlement terminal from the Exchange OTC derivatives settlement system or other methods.

§68. Delivery and Receipt of Net Cash Settlement Amount

Clearing members shall deliver the net cash settlement amount pursuant to the notification of settlement details received to the Exchange by the settlement date and settlement deadline noted in [§66(2)], and the Exchange shall pay the net cash settlement amount to clearing members after the settlement deadline.

§69. Method of Delivery and Receipt of Net Cash Settlement Amount

(1) Clearing members shall deliver the net cash settlement amount by transferring the amount from the bank account under the name of clearing member to the account under the name of the Exchange (hereinafter referred to as the “settlement bank account of the Exchange”) that was opened for the deposit of member margin and settlement of net cash settlement amount with the settlement bank.

(2) The Exchange shall deliver the net cash settlement amount by way of transferring the amount from the settlement bank account of the Exchange to the bank account under the name of clearing member when there is a payment request from the clearing member. In such cases, the clearing member shall be prohibited to make a payment request of net cash settlement amount in the amount in excess of the amount specified in the Enforcement Rules.

(3) The method of making the payment request of net cash settlement amount by the clearing member and other matters necessary for the delivery and receipt of net cash settlement amount shall be stipulated in the Enforcement Rules.

§69-2. Settlement Finality of Net Cash Settlement Amount

Clearing members may not cancel the net cash settlement amount after it is transferred to the account of the Exchange at the settlement bank pursuant to [§69(1)]. (Amended on February 11, 2015)

§70. Settlement Instructions

In the case of delivering the net cash settlement amount to the clearing member pursuant to [§69(2)], the Exchange shall instruct the settlement bank to make the settlement by transferring the amount from the settlement bank account of the Exchange to the bank account under the name of clearing member (hereinafter referred to as the “settlement instruction”).

§71. Settlement Bank Management

- (1) The Exchange shall monitor the extent of implementation of settlement instruction by the settlement bank on an ongoing basis.
- (2) To conduct a reliable and efficient settlement operation, the Exchange shall periodically verify such facts as the financial conditions of settlement banks.
- (3) The designation and termination of settlement bank and other matters necessary for the management of settlement bank shall be stipulated in the Enforcement Rules.

Section 3. Analysis and Management of Settlement Risks and Liquidity Provision

§72. Analysis and Management of Settlement Risks, etc.

- (1) In cases where it deems difficult to efficiently fulfill the settlement obligation, the clearing member shall notify such fact to the Exchange without delay.
- (2) For the purpose of conducting a reliable and efficient settlement operation, the Exchange shall analyze and manage the settlement risk of clearing members and report it to the Risk Management Committee noted in Article 28(4) of the Articles of Incorporation. (Amended on September 17, 2025)
- (3) The details of notification noted in paragraph (1), management and analysis of settlement risk of clearing member noted in paragraph (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§73. Liquidity Provision, etc. for Settlement Guarantee

(1) In cases where a clearing member has failed to deliver the net cash settlement amount by the settlement deadline noted in [§66(2)], the Exchange shall immediately provide the liquidity using the financial resources specified in the Enforcement Rule starting on the settlement deadline. Provided that this provision shall not apply when the Exchange deems difficult to provide liquidity because of a failure of the settlement bank electronic systems and other unavoidable reasons.

(2) In the case of providing the liquidity pursuant to paragraph (1), the Exchange shall notify such fact to the relevant clearing member without delay.

(3) The provision of liquidity, type and usage of financial resources pursuant to paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

§74. Loss caused by Settlement Delay

(1) The clearing member that fails to deliver the net cash settlement amount by the settlement deadline shall pay the amount of loss caused by settlement delay to the Exchange. Provided that,, in cases where the delay in payment was unavoidable due to the natural disaster, sudden change in economic condition and failure of settlement bank electronic systems, and where the Exchange deems that liquidity is difficult to provide pursuant to [§73(1p)], the amount of loss caused by settlement delay may not be paid.

(2) Methods of calculation and payment of loss caused by settlement delay noted in paragraph (1) and other matters necessary for the imposition of loss caused by settlement delay shall be stipulated in the Enforcement Rules.

§75. Bearing of Expenses related to Settlement

Clearing members shall bear all expenses, such as bank service fees, incurred in relation to the settlement with clearing member or settlement default by the clearing member. In such cases, clearing member may have the relevant client bear all expenses incurred in relation to the client.

Section 4. Settlement between Clearing Member and Client

§76. Daily Net Settlement Amount and Settlement Rates

(1) General clearing member and the client shall settle using the net present value notified by the Exchange.

(2) The provisions of [§64(4)] shall apply *mutatis mutandis* to the settlement rate and net present value noted in paragraph (1).

§77. Delivery and Receipt of Daily Net Settlement Amount

(1) General clearing member and the client shall deliver and receive the amount noted in each of the following subparagraphs in relevant settlement currencies: (Amended on October 21, 2015; November 30, 2016)

1. Net settlement amount of the day;
2. Renewed net settlement amount;
3. Price alignment interest;
4. Coupon;
5. Unrealized interest difference [September 17, 2025]
6. Negotiated settlement amount.

(2) The Exchange shall notify the amount noted in each subparagraph of paragraph (1) for each client clearing account to the general clearing member.

§78. Delivery and Receipt of Client's Net Cash Settlement Amount

(1) The amount of cash to be delivered and received between the general clearing member and the client (hereinafter referred to as the "client's net cash settlement amount") shall be the balance resulting from netting the total amount payable and the total amount receivable in the net settlement amount of the day, renewed net settlement amount, price alignment interest, coupon, unrealized interest difference, and negotiated settlement amount for each transaction with the same currency, date, settlement deadline and floating interest rate for settlement, among the transactions taken place pursuant to the former part of [§52(3)]. (Amended on November 30, 2016; September 17, 2025)

(2) The Exchange shall notify the details of the client's net cash settlement amount (hereinafter referred to as the "settlement details of the client") noted in paragraph (1) to the general clearing member on each business day. In such cases, the general clearing member shall notify the relevant details to the client without delay.

(3) The general clearing member shall receive the net cash settlement amount of the client in accordance with the settlement details of the client noted in paragraph (2), and in cases where the client makes the payment request, the client's net cash settlement amount shall be paid. In such cases, general clearing member shall be prohibited to request the payment of net cash settlement amount in excess of the amount specified in the Enforcement Rules.

(4) The deadline for receipt and delivery noted in paragraph (3) shall be the time determined by the general clearing member, which is before 16:00 on the business day after the calculation day of client's net cash settlement amount.

(5) The delivery and receipt noted in paragraph (3) shall be made using the method decided by the general clearing member.

§79. Special Cases concerning Settlement in Case of Delegation of entrusted Tasks

(1) The Exchange may receive and deliver the client's net cash settlement amount from and to the client of general clearing member with whom the Exchange has entered the task delegation agreement.

(2) The receipt and delivery between the Exchange and client pursuant to paragraph (1) shall be construed as the receipt and delivery between the general clearing member and client. In such cases, it shall be deemed that, between the general clearing member and the Exchange, there has been the delivery and receipt of net cash settlement amount noted in [§68] related to that client clearing transaction.

(3) The provisions of [§69(1)] shall apply *mutatis mutandis* to the payment of client's net cash settlement amount pursuant to paragraph (1). In such cases, the "net cash settlement amount of clearing member" and "name of clearing member" shall be deemed to be the "net cash settlement amount of client" and "name of client", respectively.

(4) The provisions of [§69(2)] shall apply *mutatis mutandis* to the payment of net cash settlement amount of the client. In such cases, the "net cash settlement amount" and "payment request of clearing member" and "name of clearing member" shall be deemed to be the "net cash settlement amount of client", "payment request of client and payment approval of clearing member" and "name of client", respectively. Provided that the Exchange shall not deliver the amount in excess of the amount specified in the Enforcement Rules.

(5) The Exchange shall notify the settlement details of client to the client of general clearing member, with whom it has entered into the task delegation agreement, by transmitting it to the Member OTC derivatives settlement system using the Exchange OTC derivatives settlement system or other methods.

(6) In the case of having delivered and received the net cash settlement amount of client to and from the client pursuant to paragraph (1), the Exchange shall notify such details to general clearing member of the relevant client.

CHAPTER VII. MARGINS

Section 1. General Provisions

§80. Classification and Calculation of Margins

(1) Margins shall be classified into member margin that the clearing member deposits with the Exchange to guarantee the fulfillment of its obligation to the Exchange, and client margin that the client deposits with the general clearing member to guarantee the fulfillment of its obligation to general clearing member with whom it has entered into the Client Clearing Agreement.

(2) The Exchange shall calculate the member margins by settlement currency of each clearing account and the general clearing members shall calculate the client margins by settlement currency of each member's account for client. (Amended on November 30, 2016)

Section 2. Deposit of Member Margins

§81. Deposit of Member Margins

(1) Clearing member shall deposit, as member margin, the amount that is no less than the sum of the amount specified in the Enforcement Rules (hereinafter referred to as the "member risk margin amount") and the amount equivalent to the maximum net loss that may result in cases where the interest rate for cleared transaction varies by a certain level (hereinafter referred to as the "member net exposure margin amount") by the time specified in the Enforcement Rules (hereinafter referred to as the "reference time for calculation of member net exposure margin"), which is after the deadline for requesting the assumption of obligation.

(2) The deposit deadline of member margin calculated pursuant to paragraph (1) shall be 12:00 of the business day after the calculation day.

(3) Member margin, which the clearing member is required to deposit with the Exchange in advance when the Exchange registers the assumption of obligation, shall be stipulated in the Enforcement Rules. (Amended on May 27, 2015)

(4) In cases where it deems necessary for the market management, the Exchange may change the reference time for calculation of member net exposure margin noted in paragraph (1) and the deposit deadline noted in paragraph (2).

(5) The calculation methods of member net exposure margin and member risk margin and other matters necessary for member margin shall be stipulated in the Enforcement Rules.

§82. Deposit of Intraday Member Margins

(1) In cases where the assess value of the deposited asset as at the time specified in the Enforcement Rules on each business day is less than the clearing amount of member maintenance margin, the clearing member shall deposit to the Exchange the amount higher than the intraday member margin amount that takes into account the intraday net settlement

loss, etc. specified in the Enforcement Rules, including the intraday settlement loss as the intraday member margin. (Amended on November 30, 2016)

(2) The deposit deadline of intraday member margin determined pursuant to paragraph (1) shall be 14:00 on the calculation day. Provided that, in the case of intending to request the assumption of obligation, it shall be the earlier of 14:00 of calculation day or the time when the request for assumption of obligation is made after receiving the notification of intraday member margin.

(3) In cases where the clearing member is required to deposit an intraday member margin pursuant to paragraph (1), the member margin pursuant to [§81(3)] shall be separately determined. (Amended on May 27, 2015)

(4) In cases where it deems necessary for the market management, the Exchange may change the time specified in paragraph (1) and the deposit deadline noted in paragraph (2).

(5) Calculation methods of the assessed value of deposited asset, clearing member maintenance margin and intraday member margin noted in paragraph (1) and other matters necessary for the deposit of intraday member margin shall be stipulated in the Enforcement Rules. (Amended on November 30, 2016)

Section 3. Deposit, Withdrawal and Methods of Management and Investment of Member Margins

§83. Segregated Deposit and Means of Deposit of Member Margins

(1) Clearing member shall deposit the member margin with the Exchange by segregating the proprietary asset and client asset. In such cases, if there are more than two (2) clients, the client asset shall be deposited separately for each client.

(2) Member margins may be deposited in the settlement currencies of cleared transactions (in the case of Korean won, it shall include the cashier's checks issued by banks pursuant to Article 6 of the Check Act; the same hereinafter), or it may be made in substitute securities, Korean won, foreign currencies or foreign securities in lieu of the relevant settlement currency, within the limit specified in the Enforcement Rules. (Amended on November 30, 2016)

(3) Notwithstanding [§81] and [§82], the Exchange may change the deposit day and deposit deadline of the member margin, in cases where the social infrastructure such as the electricity and communication services generally cease to function due to such events as the natural disaster, calamity, war and unrest, and other cases where it deems necessary for a reliable clearing operation.

§84. Return and Appropriation of Member Margins

(1) In cases where the assess value of deposited asset of a clearing member exceeds the amount of member margin, or the cash deposit (referring to the amount deposited in the settlement currencies, among the deposited assets; the same hereinafter) is in excess of the net cash settlement amount that the clearing member is required to deliver to the Exchange on that day (hereinafter referred to as the “net cash settlement amount of the day”), the Exchange may return the amount that is less than the relevant surplus amount to the clearing member or may appropriate the relevant surplus amount as the member margin to be collected that day. (Amended on November 30, 2016)

(2) The criteria and calculation method of the return and appropriation amount and restriction on return noted in paragraph (1) and other necessary matter shall be stipulated in the Enforcement Rules.

§85. Methods of Deposit and Withdrawal of Member Margins

(1) Methods of deposit and withdrawal of member margins shall be as noted in each of the following subparagraphs: (Amended on November 30, 2016; August 28, 2019)

1. In the case of Korean won or foreign currencies:

The deposit shall be made by way of depositing in the Exchange’s account opened in a settlement bank and the withdrawal shall be made by way of transferring from the relevant Exchange’s account opened in a settlement bank to a settlement account in the clearing member’s name.

2. In the case of substitute securities:

(a) In the case of securities that are electronically registered in a proprietary account book of a clearing member opened in the Korea Securities Depository, the deposit shall be made in such manner that the Exchange establishes a right of pledge as prescribed in the Electronic Securities Act, and the withdrawal shall be made by way of deleting the relevant pledge right; and

(b) In cases where a clearing member’s pledge right is established on the securities that are electronically registered in a client’s proprietary account book opened in the Korea Securities Depository (in cases where the client is a collective investment business entity, it shall include the trust business entity’s proprietary account book which keeps in custody or manages the collective investment assets entrusted by the client), the deposit shall be made in such manner that the Exchange establishes the right of sub-pledge as prescribed in the Electronic Securities Act, and the withdrawal shall be made by way of deleting the relevant sub-pledge right.

3. In the case of foreign securities

The deposit shall be made by way of making the account transfer to the Exchange’s account at the Korea Securities Depository for the deposit of foreign securities and the withdrawal shall be made by way of transferring from the relevant Exchange’s account

to the account under the name of the clearing member at the Korea Securities Depository for the purpose of receiving the foreign securities.

(2) Deposit or withdrawal method of member margin pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

§86. Management and Investment of Member Margins

(1) The Exchange shall manage Korean won, foreign currencies or foreign securities deposited as member margins by segregating them from its proprietary assets for each clearing member. (Amended on November 30, 2016)

(2) The Exchange shall manage the member margin by breaking it down for each clearing member pursuant to paragraph (1) and by segregating the proprietary asset of clearing member from the asset of an entity other than clearing member.

(3) The Exchange shall manage the asset of an entity that is not a clearing member segregated pursuant to paragraph (2) by breaking it down for each client.

(4) The Exchange may invest Korean won and foreign currencies deposited by a clearing member according to the methods stipulated in the Enforcement Rules, which ensures their liquidity. (Amended on November 30, 2016)

(5) The profits incurred from the member margins deposited in Korean won or foreign currencies shall be segregated into the proprietary asset of a clearing member and the asset of entities other than clearing member for each clearing member, and shall be credited to the member margin, and the profit confirmed as the asset of entities other than the clearing member shall be separated for each client and credited to the client margin. (Amended on November 30, 2016)

(6) The management and investment of member margins and other necessary matters shall be stipulated in the Enforcement Rules.

Section 4. Deposit of Client Margins

§87. Deposit of Client Margins

(1) General clearing member shall collect the amount stipulated in the Enforcement Rules by taking into account such facts as the amount of maximum net loss (hereinafter referred to as “client net exposure margin”) that may result when the interest rate for the cleared transaction per clearing member account as of the reference time for calculation of member net exposure margin varies to a certain level as client margin.

(2) The deposit deadline of client margin determined pursuant to paragraph (1) shall be the time specified by the general clearing member, which is before 12:00 of the business day after the calculation day.

(3) In cases where the Exchange registers the assumption of obligation of a cleared transaction for which a general clearing member accepted the request for the assumption of obligation from the client, the client margin that the general clearing member is required to collect from the client in advance shall be stipulated in the Enforcement Rules. (Amended on May 27, 2015)

(4) In cases where it deems necessary for the market management, the Exchange may change the deposit deadline noted in paragraph (2).

(5) The calculation method of client net exposure margin and other necessary matters about the client margin shall be stipulated in the Enforcement Rules.

§88. Deposit of Intraday Client Margins

(1) In the case of having received the notification for deposit of intraday client margin amount for client account from the Exchange, the general clearing member shall collect the amount higher than the relevant amount from the client as the intraday client margin. (Amended on November 30, 2016)

(2) The deposit deadline for intraday client margin noted in paragraph (1) shall be the time specified by the general clearing member, which is before 14:00 of the day. Provided that, in the case of intending to receive the request for assumption of obligation from the client of the client account, it shall be the earlier of the deposit deadline of intraday client margin and the receipt time of the requests for assumption of obligations placed after the notification of intraday client margin.

(3) The deposit of intraday client margin pursuant to paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

Section 5. Payment and Appropriation of Client Margins

§89. Deposit Means and restricted Use of Client Margins

(1) General clearing members shall collect the client margins in the settlement currencies of the clearing eligible transactions. Provided that general clearing members may accept substitute securities, Korean won, foreign currencies and foreign securities in lieu of the relevant settlement currency within the limit specified in the Enforcement Rules. (Amended on November 30, 2016)

(2) General clearing members shall deposit with the Exchange the entire amount of client margin collected from the client.

(3) General clearing members shall be prohibited to use the Korea won, substitute securities, foreign currencies or foreign securities deposited by the client for purposes other than fulfilling the settlement obligation related to cleared transaction, depositing the member margin or purpose specified by the Financial Services Commission. (Amended on November 30, 2016)

(4) General clearing members shall be able to use the cash, substitute securities, foreign currency or foreign securities deposited by the client as the member margin of the relevant client only after obtaining a written consent of the client in advance.

(5) In cases where the client submits a document stating its intension that “the client consents that the general clearing member deposits the substitute securities and foreign securities deposited or to be deposited in the future by the client with the Exchange as member margin”, it shall be deemed that the client has given its consent pursuant to paragraph (4).

§90. Return and Appropriation of Client Margins

(1) In cases where the assessed value of deposited asset of a client exceeds the client margin or the cash deposit of a client exceeds the net cash settlement amount of the client to be collected from the client on the day (hereinafter referred to as the “client’s net cash settlement amount of the day”), the general clearing member may return the amount less than the surplus amount or appropriate the surplus amount as the client margin to be collected from the client. (Amended on November 30, 2016)

(2) The criteria and calculation methods for the return and appropriation amount noted in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

§91. Exceptions in Return and Appropriation according to Task Delegation Agreement

(1) The Exchange shall apply [§90(1)] *mutatis mutandis* to the return and appropriation of client margin that the client of a general clearing member that has entered into the task delegation agreement pursuant to [§63] has deposited with the Exchange. In such cases, the “general clearing member” shall be deemed to be the “Exchange”.

(2) In cases where the Exchange has returned or appropriated the client margin pursuant to paragraph (1), the return or appropriation shall be deemed to be conducted by the general clearing member.

(3) With regard to the return noted in paragraph (1), the withdrawal method of member margin pursuant to each subparagraph [excluding subparagraph 2(b)] of [§85(1)] shall apply *mutatis mutandis* thereto. In such cases, “clearing member” shall be deemed to be “client”.

(4) In the case of intending to return the client margin pursuant to paragraph (3), the Exchange shall obtain prior approval on the return from the general clearing member of the relevant client.

(5) The criteria and calculation method of return and appropriation amount noted in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

§92. Methods of Deposit and Return of Substitute Securities and Foreign Securities

(1) In cases where a general clearing member accepts the deposit of substitute securities from a client, the general clearing member shall establish the right of pledge on the substitute securities as prescribed in the Electronic Securities Act, and in the case of returning the substitute securities to the client, the relevant pledge right shall be deleted. (Amended on August 28, 2019)

(2) In cases where general clearing member accept the deposit of foreign securities from the client, the deposit shall be made by transferring to the account under the name of the general clearing member at the Korea Securities Depository, and in case of paying the foreign securities to the client, the return shall be accomplished by way of transferring from the account under the name of the general clearing member to the account specified by the client.

§93. Combined Custody, etc. of Foreign Securities

(Amended on August 28, 2019)

(1) General clearing members may keep foreign securities in custody combined for each issue. (Amended on August 28, 2019)

(2) When returning foreign securities, general clearing members may do it in the same issue. (Amended on August 28, 2019)

(3) Any client who has deposited substitute securities or foreign securities with defective rights shall replace those securities with the substitute securities or foreign securities with no defect, without delay.

§94. [Deleted on November 30, 2016]

Section 6. Types and Valuation of Substitute Securities, Foreign Currencies and Foreign Securities

§95. Types, etc. of Substitute Securities

(1) The substitute securities that may be deposited as member margin and client margin (hereinafter in this Section referred to as the “member margin, etc.”) shall be the securities

falling under any of the following subparagraphs (hereinafter referred to as “substitute securities”): (Amended on December 5, 2018)

1. Any security with low credit and market risks and with high liquidity from among the securities designated as substitute securities pursuant to the KOSPI Market Business Regulation, which satisfies the criteria set by the Enforcement Rules;
2. Any security with low credit and market risks and with high liquidity from among the securities designated as substitute securities pursuant to the KOSDAQ Market Business Regulation, which satisfies the criteria set by the Enforcement Rules; or
3. The securities set forth in the Enforcement Rules.

(2) In the case of any of the following subparagraphs, the Exchange may not accept the validity of substitute securities:

1. Any substitute securities of which the collateral value changes rapidly or redemption is restricted; or
2. Any listed securities that exceed the ratio specified in the Enforcement Rules.

(3) No clearing member can deposit the securities issued by itself [in the case of branch office, etc. of foreign financial investment business entities, etc., the securities issued by the relevant foreign financial investment business entity, etc. shall be included; the same hereinafter in this Paragraph and paragraph (4)] as a member margin. Provided that this provision shall not apply to the case where the securities that were deposited by the client are the securities issued by the clearing member. (Amended on November 30, 2016)

(4) No general clearing member can accept the securities issued by the client as the client margin.

(5) General clearing members may put the restriction on the type of substitute securities that the client may use to deposit the client margin.

(6) The method of calculating the price of substitute securities (hereinafter referred to as “substitute price”) and calculation time, the reference price and haircut ratio of substitute securities and other matters necessary for the administration and restriction on the substitute securities shall be pursuant to the provisions of the KOSPI Market Business Regulation and KOSDAQ Market Business Regulation, except for the cases stipulated otherwise in the Enforcement Rules.

§96. Types, etc. of Foreign Currencies

(1) The types of foreign currency that can be deposited as member margins, etc. shall be the foreign currencies specified in the Enforcement Rules.

(2) The valuation methods and other necessary matters related to the foreign currencies under paragraph (1) shall be stipulated in the Enforcement Rules.

§97. Types, etc. of Foreign Securities

- (1) The types of foreign securities that can be used as member margins, etc. shall be the foreign securities specified in the Enforcement Rules.
- (2) The valuation methods and other necessary matters of the foreign securities under paragraph (1) shall be stipulated in the Enforcement Rules.

CHAPTER VIII. CHANGE OF CONTRACT AND TRANSFER OF CLEARED TRANSACTIONS

(Amended on June 9, 2021)

Section 1. Change of Contract of Cleared Transactions

(Amended on June 9, 2021)

§98. Change of Contract

(Amended on June 9, 2021)

(1) In the case of intending to change details of cleared transactions (hereinafter referred to as “the change of contract”), the clearing member shall apply for the change of contract to the Exchange. (Amended on June 9, 2021)

(2) The change of contract in paragraph (1) shall be classified as follows: [June 9, 2021]
(Previous paragraph (2) moves to paragraph (3) on June 9, 2021)

1. Compression: To reduce the size of existing cleared transactions by terminating the contracts or changing the contract amount, etc. before the expiration of contracts for multiple cleared transactions;

2. Early termination: To terminate all or part of the contract amount before the contract expires for a single cleared transaction; and

3. Change of counterparty: To change a counterparty of the Exchange for cleared transactions.

(3) The change of contract of client clearing transaction shall be accomplished by the relevant client making the request to the clearing member (referring to the general clearing member that has entered into the Client Clearing Agreement with the client: the same hereinafter), and on the basis of such request, the clearing member making the request noted in paragraph (1). (Moves from paragraph (2) and previous paragraph (3) deleted on June 9, 2021)

(4) The date, time, method, criteria, receipt, and registration for requesting the change of contract and other necessary matters shall be stipulated in the Enforcement Rules. (Amended on June 9, 2021)

§99. Receipt and Delivery of Negotiated Settlement Amount for Change of Contract

(1) The parties to the change of contract shall receive and deliver with the Exchange the negotiated settlement amount for change of contract. (Amended on October 21, 2015)

(2) The receipt and delivery method of the negotiated settlement amount for change of contract noted in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules. (Amended on October 21, 2015)

Section 2. Transfer of Cleared Transaction

§100. Transfer of Cleared Transactions between Clearing Members

(1) Clients may transfer the entire quantity of cleared transactions submitted to the clearing member, with whom it has entered into the Client Clearing Agreement, to another general clearing member.

(2) The transfer of cleared transactions pursuant to paragraph (1) shall be carried out by way of the clearing member that accepted the submission (hereinafter referred to as the “transferor clearing member”) and the general clearing member that accepted the transfer (hereinafter referred to as the “transferee clearing member”) entering into an agreement for the transfer of a cleared transaction.

(3) The period for requesting the transfer of cleared transaction shall be from 17:00 to 17:20.

(4) The price of cleared transaction transferred pursuant to paragraph (2), request for transfer, transfer method of assets related to cleared transactions, receipt and registration of transfer request and other matters that are necessary for the transfer of cleared transactions shall be stipulated in the Enforcement Rules.

§100-2. Transfer of Cleared Transactions between Clearing Accounts

(1) Clearing members may transfer cleared transactions between proprietary clearing accounts.

(2) Clearing members may transfer cleared transactions between client clearing accounts of the relevant client according to the request of the client.

(3) The period for requesting the transfer of cleared transaction pursuant to paragraphs (1) and (2) shall be from 17:00 to 17:20.

(4) The method of requesting the transfer for cleared transactions pursuant to paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

[May 27, 2015]

CHAPTER IX. DEFAULT MANAGEMENT PROCESS

Section 1. Measures against Defaulting Clearing Members

§101. Measures in Case of Settlement Default of Clearing Members

(1) In cases where it is deemed that a clearing member fails or is likely to fail to fulfill the settlement obligation or to deposit member margins (hereinafter referred to as “settlement default, etc.” in this Section), the Exchange may take actions noted in each of the following subparagraphs against the relevant clearing member, by specifying a certain period of time or until the cause therefor is eliminated.

1. To suspend whole or a part of the clearing participation;
2. To suspend payments of whole or a part of the net cash settlement amount or the member margin that the clearing member is to receive from the Exchange, or whole or a part of the cash or securities that the clearing member is to receive from the Exchange; and
3. In addition, to take measures specified in the Enforcement Rules.

(2) “Cases where a clearing member is likely to fail to fulfill the settlement obligation or to deposit member margins” in paragraph (1) shall refer to a case falling under any of the following subparagraphs:

1. Where there is a request for payment suspension or commencement of rehabilitation procedures by the clearing member;
2. Where the check or bill issued has defaulted or the transaction with banks has been suspended;
3. Where the Financial Services Commission has taken the action to suspend the business operation;
4. Where a foreign investment company falls under the cause equivalent or similar to subparagraphs 1 through 3 in case of a branch office, etc. of a foreign financial investment company;

5. Where a financial fraud or non-performing loan involving a large sum has occurred;
6. Where there is a sharp deterioration in liquidity; and
7. In addition, as a case equivalent to the provisions of subparagraphs 1 through 6, where it is likely to fail to fulfill the settlement obligations.

(3) In the case of having been imposed of measures noted in paragraph (1) due to settlement default, the net cash settlement amount, member margin or other cash and securities of which the payment has been suspended pursuant to paragraph (1)2 may be appropriated for the collection of claim or be used to offset against the net cash settlement amount that the relevant clearing member is required to deliver to the Exchange. In such cases, it shall be deemed that the profit for the credit and claim period that the clearing member collects from the Exchange is lost.

(4) Clearing member subject to the measures pursuant to paragraph (1) shall notify the details of the measures and other matters that the Exchange deems necessary to the client without delay.

(5) When taking the measures against the clearing member pursuant to paragraph (1), and when it deems necessary, the Exchange may dispatch its employee to the relevant clearing member pursuant to the stipulation in the Enforcement Rules to provide the support required for efficient settlement operation. In such cases, the relevant clearing member shall provide the employee dispatched by the Exchange with the space, workforce, equipment and other resources necessary for supporting the settlement operation.

(6) The notification of details of measures imposed and other necessary matters shall be stipulated in the Enforcement Rules.

§102. Close-out of Cleared Transactions held by suspended Clearing Members

The provisions of [§16] shall apply *mutatis mutandis* to the close-out of cleared transactions of clearing member (hereinafter referred to as the “suspended clearing member”) against whom the clearing participation has been suspended in the whole or a part pursuant to [§40 and §101].

§103. Protection of Client, etc.

(1) In cases where it is deemed necessary for the protection of clients of a clearing member that has been subject to any of the measures under subparagraphs of [§101(1)] for such reasons as settlement default (hereinafter in this Article referred to as “clearing member subject to measures”), the Exchange may act on behalf of the clearing member subject to measures for up to the period specified in the Enforcement Rules. In such cases, it shall be deemed that the Exchange and the clearing member subject to measures have entered into a task delegation agreement noted in [§63].

(2) No clearing member subject to measures can claim the rights over the net cash settlement amount and the client margin that are delivered and received between the Exchange and the client pursuant to paragraph (1).

(3) A client of a clearing member subject to measures may transfer the entire quantity of the client clearing transactions in its own account to the transferee clearing member that is designated by the client pursuant to [§100].

(4) The client margin in case of transferring the client clearing transactions of a client pursuant to paragraph (1), and other necessary matters shall be stipulated in the Enforcement Rules.

§104. Termination of Measures imposed subsequent to Settlement Default

(1) In the event that the Exchange has imposed the measures noted in [§101(1)] without specifying the duration period, the relevant clearing member may request the Exchange to terminate the relevant measure when it has resolved the cause for the relevant measure.

(2) In the case of receiving the request for termination of measures imposed pursuant to paragraph (1), the Exchange may terminate the relevant measure if it deems that the termination is appropriate.

Section 2. Measures against Defaulting Clients

§105. Measures, etc. in Case of Settlement Default of Clients

(1) In cases where a client has failed to fulfill its settlement obligation or to deposit the client margin, or there is a concern that the client may fail to fulfill its settlement obligations, the clearing member may take the measures noted in any of the following subparagraphs: (Amended on November 30, 2016)

1. To suspend the payment of the whole or a part of the client's net cash settlement amount or client margin that the client is to receive from the clearing member;
2. To restrict the new transaction taking place pursuant to the former part of [§52(3)];
3. To close-out the client clearing transactions according to the change of contract noted in [§98] (when the measures are finished, transactions taking place pursuant to the forepart of [§52(3)] that fall under such transactions shall be deemed to have been closed out); or
4. In addition, to take the actions specified in the Client Clearing Agreement.

(2) Clearing member shall undertake the measures noted in subparagraphs 2 through 4 of paragraph (1) with due care and diligence.

(3) In cases where the client has defaulted on a settlement obligation, the clearing member shall notify the Exchange the relevant fact and other facts considered necessary and requested by the Exchange without delay.

Section 3. Risk Management in Case of Settlement Default

§106. Default Management Committee

(1) To seek advice on matters noted in each of the following subparagraphs, the Exchange shall operate the Default Management Committee consisting of the representatives of the Exchange and clearing members: (Amended on February 11, 2015)

1. Matters about the time, condition and counterparty, etc. of the transaction for hedging the losses caused by the settlement default (hereinafter referred to as the “hedging transaction”);
2. Matters such as the time, conditions and method of auction for the cleared transactions of the default clearing member; and
3. Matters about the efficient management of loss caused by the settlement default of a clearing member.

(2) The composition, operation and other necessary matters concerning the Default Management Committee shall be stipulated in the Enforcement Rules. (Amended on February 11, 2015)

§107. Implementation of Hedging Transaction

(1) In cases where it deems necessary in view of the composition, size, price and other circumstance of cleared transactions (referring to the proprietary clearing transactions and the client clearing transactions that were not transferred to another clearing member: the same hereinafter) of the default clearing member, the Exchange may carry out the hedging transaction to avoid the whole or a part of the loss that could result from the cleared transactions of the relevant clearing member until all cleared transactions of the relevant clearing member is closed out.

(2) The method of hedging transaction pursuant to paragraph (1) and other matters about the hedging transaction shall be stipulated in the Enforcement Rules.

§108. Conduct of Auctions

(1) The Exchange may close out the transactions (hereinafter referred to as the “transactions subject to auction”) noted in each of the following subparagraphs by auctioning:

1. Proprietary clearing transactions of the default clearing member;
 2. Client clearing transactions that were not transferred to another general clearing member within fifteen (15) days of the settlement default of the clearing member; and
 3. Hedging transaction concerning the transactions noted in subparagraphs 1 and 2.
- (2) In the case of conducting an auction to close out the transactions subject to auction pursuant to paragraph (1), the Exchange shall notify the matters noted in each of the following subparagraphs (hereinafter in this Article referred to as the “auction information”) to each clearing member in advance. In such cases, the clearing members shall notify the relevant clients. (Amended on November 30, 2016; September 17, 2025)
1. The date and time of the auction;
 2. Unit of auction made up of the whole or a part of transactions subject to auction (hereinafter referred to as the “auction unit”);
 3. Auction method; and
 4. Other matters that the Exchange deems necessary.
- (3) Clearing members that have received the notification noted in paragraph (2) shall participate in the auction.
- (4) Clients may participate in the auction by submitting its tender to the clearing member with whom the Client Clearing Agreement is entered.
- (5) The Exchange shall collect the auction deposit from the auction participants stipulated in the Enforcement Rules. (Amended on May 27, 2015)
- (6) To minimize the negative influence that the delay in auction may have on the financial market, the Exchange may let the party specified in the Enforcement Rules to participate in the auction.
- (7) The composition of auction unit noted in paragraph (2), the method of participation in auction noted in paragraph (3), the calculation method of auction deposit noted in paragraph (5) and other matters necessary for the auction shall be stipulated in the Enforcement Rules.

§109. Handling of Successful Bids

- (1) In cases where a transaction subject to auction has been successfully auctioned off, the transactions noted in each of the following subparagraphs shall take place at the time of successful bidding: (Amended on November 30, 2016)

1. Cleared transactions between the Exchange and the clearing member that placed the successful bidding (hereinafter in this Article referred to as the “successful bidding clearing member” and “auctioned transaction”); and
 2. In cases where the successfully auctioned transaction noted in subparagraph 1 is a client clearing transaction, transactions taking place pursuant to the forepart of [§52(3)] between the successful bidding clearing member and the relevant client;
- (2) When the auctioned transaction pursuant to paragraph (1) takes place, the transactions noted in each of the following subparagraphs shall cease to exist: (Amended on November 30, 2016)
1. The cleared transaction between the Exchange and the default clearing member that is equivalent to the auctioned transaction noted in paragraph (1)1; and
 2. In cases where the transaction being closed-out noted in subparagraph 1 is a client clearing transaction, the transaction taking place pursuant to the former part of [§52(3)] between the default clearing member that accepted the clearing submission and the client related to that transaction.
- (3) All losses (including the expenses related to the auction) resulting from successful bidding of auction unit shall be borne by the default clearing member.
- (4) The settlement method at the time of successful bidding and other necessary matters shall be stipulated in the Enforcement Rules.

§110. General Meeting of Clearing Members

- (1) In the case of any of the following subparagraphs, the Exchange shall call a general meeting of clearing members without delay:
1. When compensating the loss of defaulting clearing member using the collection of variation margin gains haircuts pursuant to [§115], in the event that a majority of clearing members (excluding the clearing member that has requested to withdraw its membership or the defaulting clearing member, hereinafter referred to as the “non-defaulting clearing member”) requests, in writing, the Exchange to close-out the clearing operation; and
 2. In addition, the cases specified in the Enforcement Rules as the Exchange deems it necessary.
- (2) The method of making a decision at the general meeting of clearing members convened pursuant to paragraph (1) shall be as follows:
1. In the case of subparagraph of paragraph (1): The attendance of all non-defaulting clearing members and the consent of all non-defaulting clearing members present.

2. In the case of subparagraph 2 of paragraph (1): The attendance of at least two-thirds of non-defaulting clearing members and the consent of two-thirds of non-defaulting clearing members present.

(3) The reasons for calling the general meeting of clearing members and other necessary matters shall be specified in the Enforcement Rules.

§111. Commencement of Close-out Netting Process

(1) In the case of falling under any of the following subparagraphs, the Exchange shall commence the close-out netting process for cleared transactions with all clearing members in accordance with the Enforcement Rules.

1. Where the Exchange has not fulfilled its payment obligation with respect to cleared transactions without justifiable cause, namely where the Exchange has failed to conduct its payment obligation within ten (10) days from the date of receiving the notice on payment obligation by the method stipulated in [§125] from a clearing member who is the counterparty of the relevant transaction (excluding defaulting clearing members);

2. Where the bill or check issued by the Exchange has defaulted or the Exchange has been prohibited or suspended from the transaction with banks;

3. Where the Financial Services Commission has taken an action to issue an order of close-out netting or to cancel the authorization of the Exchange;

4. Where the Exchange files for suspension of payment, reorganization commencement, and bankruptcy pursuant to the Debtor Rehabilitation and Bankruptcy Act;

5. Where after a person other than the Exchange files for reorganization commencement or bankruptcy of the Exchange pursuant to the Debtor Rehabilitation and Bankruptcy Act, and the cause thereof has not been resolved within one (1) month after making such filing or the commencement of reorganization or bankruptcy declaration has been decided by the court; and

6. Where pursuant to [§110], the decision has been made at the general meeting of clearing members to close the clearing operation of Exchange.

(2) In the case of proceeding with the close-out netting noted in paragraph (1), the Exchange shall terminate the clearing operation from the commencement day. Provided that this provision shall not apply to the extent that is necessary for the implementation of close-out netting.

(3) In cases where the Exchange has not commenced the close-out netting pursuant to paragraph (1) despite the occurrence of the events noted in each subparagraph of paragraph (1), a clearing member may commence the close-out netting of cleared transactions of which the relevant clearing member is a counterparty, pursuant to the Enforcement Rules.

Section 4. Default Waterfall

§112. First Use of Assets of Defaulting Clearing Members

(1) In the case of such events as the settlement default by the clearing member, the Exchange shall compensate the loss using the margin deposited by the relevant clearing member or other cash or securities that the relevant clearing member is entitled to receive (hereinafter referred to as the “deposits by the clearing member”). Provided that, when the settlement default of a clearing member is not caused by its client, and if the clearing member presents proof of such fact to the Exchange, the compensation shall not be made using the margin and other assets of the client, which the clearing member has deposited to the Exchange.

(2) In cases where it is difficult to promptly inject liquidity using the assets deposited by the default clearing member, the Exchange may use the resources such as the line of credit established with the securities finance companies or financial institutions engaged in banking business. In such cases, the Exchange shall recover the line of credit used with the deposits by the clearing member noted in paragraph (1).

(3) The line of credit noted in paragraph (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§113. Loss Compensation using OTC Derivatives JCF and Settlement Reserve

(1) In cases where it is not possible to fully compensate the loss pursuant to [§112], the Exchange shall compensate the loss using the defaulting clearing member’s contribution to the OTC derivatives JCF.

(2) In cases where the loss cannot be fully compensated pursuant to paragraph (1), to compensate the loss resulting from non-fulfillment of obligation subsequent to the clearing of cleared transactions, the Exchange shall compensate the loss using a part (maximum of 50/100 of settlement reserve) of the cash, etc. reserved on its own (hereinafter referred to as the “settlement reserve”).

(3) If the loss cannot be fully compensated pursuant to paragraph (2), the Exchange shall compensate the loss using the OTC derivatives JCF contributed by the non-defaulting clearing members (if the settlement default has occurred during the receipt period noted in [§26(4)], the amount that the non-defaulting clearing members are required to contribute to the OTC derivatives JCF). In such cases, the contributions of non-defaulting clearing members shall be used according to the sequence noted in each of the following subparagraphs, but the sequence specified in the Enforcement Rules shall apply to the clearing members in the same category:

1. Contributions of the clearing members who did not participate in the auction (hereinafter referred to as the “non-participating clearing members”);

2. Contributions of the clearing members who participated in the auction, but were unsuccessful in bidding (hereinafter referred to as the “unsuccessful bidding clearing members”); and
 3. The contributions of the clearing member who participated in the auction and was successful in bidding (hereinafter referred to as the “successful bidding clearing member”).
- (4) In cases where the loss cannot be fully compensated pursuant paragraph (3), the Exchange shall compensate the loss using the settlement reserve remaining after it is used pursuant to paragraph (2).
- (5) In cases where it is difficult to promptly inject the liquidity using the financial resources noted in paragraphs (1) through (4), the Exchange may use the line of credit established with the securities finance companies or financial institutions engaged in the banking business. In such cases, the Exchange shall recover the amount of line of credit used using the contributions of clearing members in the sequence noted in paragraphs (1) through (4).
- (6) The matters necessary for the loss compensation using the OTC derivatives JCF and the settlement reserve shall be stipulated in the Enforcement Rules.

§114. Loss Compensation using Member Assessment

- (1) In cases where it is not possible to fully compensate the loss using the OTC derivatives JCF and the settlement reserve pursuant to [§113], the Exchange may request non-defaulting clearing members to additional contributions to the OTC derivatives JCF. (Amended on December 5, 2018)
- (2) The amount of additional contribution to the OTC derivatives JCF (hereinafter referred to as “member assessment” in this Section) that the non-defaulting clearing member is required to make pursuant to paragraph (1) shall be the amount falling under the required OTC derivatives JCF contribution amount that the Exchange notified the clearing member most recently before the start of the cap period. (Amended on December 5, 2018)
- (3) In the case of planning to compensate the loss according to paragraph (1), the Exchange shall notify the amount of member assessment determined pursuant to paragraph (2) to the clearing members.
- (4) Upon receiving the notification noted in paragraph (3) from the Exchange, the clearing member shall pay the relevant amount in cash by 12:00 of the next business day. (Amended on February 11, 2015; November 30, 2016)
- (5) The provisions of [§113(3)] shall apply to the case of compensating the loss with the member assessment.
- (6) The Exchange shall stipulate the accumulation method of member assessment and other necessary matters in the Enforcement Rules.

§115. Loss Compensation using Collection of Variation Margin Gains Haircuts

(1) If the loss cannot be fully compensated even after using the member assessment pursuant to [§114], the Exchange may compensate the loss using the variation margin gains haircut of the clearing member whose the receivable net cash settlement amount is higher than the payable net cash settlement amount during the period specified in the Enforcement Rules (hereinafter referred to as the “net-gaining clearing member”).

(2) In the case of intending to compensate the loss pursuant to paragraph (1), the Exchange shall notify the variation margin gains haircut per clearing member, which is specified in the Enforcement Rules, to the clearing members.

(3) The calculation method, receipt and delivery and other necessary matters concerning the variation margin gains haircut to be collected shall be stipulated in the Enforcement Rules.

§116. Upper Limit of Non-Defaulting Clearing Member’s Contribution to OTC Derivatives JCF

The amount that the non-defaulting clearing member contributes to the OTC derivatives JCF to compensate the loss incurred by settlement default (referring to all losses incurred during the cap period and thereafter in relation to the cleared transactions of the default clearing member) belonging to the period specified in the Enforcement Rules (hereinafter referred to as the “cap period”) shall have the upper limit that is equivalent to the required OTC derivatives JCF contribution amount that the Exchange notified the clearing member most recently before the start of the cap period and the OTC derivatives JCF to be additionally contributed pursuant to [§114]. (Amended on December 5, 2018)

§117. Recovery of Used Resources according to Exercise of Indemnity

(1) In the case of having compensated the losses pursuant to [§113] through [§115], the Exchange shall exercise indemnity against the default clearing member.

(2) In the case of having exercised indemnity pursuant to paragraph (1), the Exchange shall recover the resources used to compensate the loss caused by the settlement default in the order noted in each of the following subparagraphs:

1. The amount of collection of variation margin gains haircut used for loss compensation pursuant to [§115]. In such cases, the amount recovered per clearing member shall be the amount in proportion to the variation margin gains haircut of each clearing member used for the loss compensation;
2. The member assessment per clearing member used for loss compensation pursuant to [§114]. In such cases, the sequence noted in subparagraph 4 shall apply *mutatis mutandis* to the order of recovery for each clearing member;
3. The settlement reserve used for loss compensation pursuant to [§113(4)];

4. The OTC derivatives JCF used for loss compensation pursuant to [§113(3)]. In such cases, the recovery for each clearing member shall be made in the sequence noted in each of the following items; and

- (a) The successful bidding clearing member noted in [§113(3)3];
- (b) The unsuccessful bidding clearing members noted in [§113(3)2]; and
- (c) The non-participating clearing member noted in [§113(3)1].

5. The settlement reserve used for loss compensation pursuant to [§113(2)].

(3) The recovery order of the member assessment and OTC derivatives JCF among the clearing members in the same sequence and other necessary matters shall be stipulated in the Enforcement Rules.

CHAPTER X. MANAGEMENT OF CLEARING OPERATION

§118. Employer's Liability of the Exchange

The Exchange may delegate a part of clearing operation to a third party. In such cases, in the event that the party that accepted the delegation from the Exchange inflicts any damage on a clearing member or a client in the course of performing the delegated task, Article 756 of the Civil Act shall apply *mutatis mutandis* thereto.

§119. Position Limits of Cleared Transactions

(1) Each clearing member shall manage the holding size of cleared transactions not to exceed the position limit ratio (referring to the ratio of the total contract amount of cleared transactions of the relevant clearing member to the total contract amount of cleared transactions of all clearing members) based on the contract amounts specified in the Enforcement Rules.

(2) Clearing members shall manage the position size of cleared transactions not to exceed the position limit ratio based on the member net exposure margin (referring to the ratio of net exposure member margin amount of relevant clearing member to the net exposure member margin amount of all clearing members) specified in the Enforcement Rules.

(3) The Exchange may impose the measures specified in the Enforcement Rules, such as the charge of extra net exposure member margin, to the clearing member that violates the position limit specified in paragraphs (1) and (2).

(4) The methods for calculating the total contract amount noted on paragraph (1) and the net exposure member margin amount noted in paragraph (2) and other necessary matters shall be stipulated in the Enforcement Rules. [November 30, 2016]

§120. Change of Settlement Terms

In cases where a natural disaster, calamity, war, uprising or failure of overall functions of social infrastructure such as the electricity and communication infrastructure occurs, or it acknowledges that the settlement cannot be accomplished or that it is difficult to conduct, the Exchange may change the method or terms and conditions of settlement.

§121. Limitation of Liability for Operational Delay

Clearing members and clients shall not hold the Exchange liable for the financial losses resulting from the actions taken on the basis of [§4] and [§120].

§122. Prohibition of Transfer of Claim

Clearing members and clients shall be prohibited from transferring or entering into a transfer agreement of any kind of claim (including and not limited to the rights to request a return of OTC derivatives JCF, margin, and net cash settlement amount receivable) pursuant to this Regulation to a third party or providing it as collateral. (Amended on June 3, 2014)

§123. Liquidation of Collateral

The Exchange may liquidate the collateral posted by clearing members as the Exchange determines to compensate for the damage caused by the clearing member default. [February 11, 2015]

§124. Matters to be notified by the Exchange

Matters related to the market management that the Exchange notifies the clearing members and the clients and other matters necessary for the notification shall be stipulated in the Enforcement Rules.

§125. Notification and Reporting Methods of Clearing Members

In notifying and reporting the matters specified in this Regulation to the Exchange, the clearing member shall use the methods, such as certified mail and registered mail, which enables the Exchange to verify the receipt of notification or report. Provided that this provision shall not apply in cases where it is stipulated otherwise by this Regulation.

§126. Preservation, Management and Reporting of Clearing Information

(1) The Exchange shall make a copy of the information noted in each of the following subparagraphs in magnetic disc, magnetic tape and other auxiliary memory device and

preserve the information obtained during the clearing operation for ten (10) years:
(Amended on June 9, 2021)

1. Details about the assumption of obligation;
2. Details about the request for and the change of contract;
3. Details about the request for transfer of cleared transactions;
4. Details about the member margin and settlement; and
5. In addition, the details that the Exchange deems necessary.

(2) Pursuant to Article 323-16 of the Act, the Exchange shall report the settlement information that it manages and preserves to the Financial Services Commission.

§127. Record in Members' Account for Clients

General clearing members shall record such matters as client margin, Korean won, substitute securities, foreign currencies or foreign securities received from and delivered to the client in relation to the clearing and settlement, in the members' account for client.
(Amended on November 30, 2016)

§128. Late Payment Penalty

(1) In cases where the Exchange fails to deliver the payment obligation to a clearing member by the due date, the Exchange shall pay the penalty on the overdue payment counting from the day after the due date to the relevant clearing member.

(2) The matters necessary for the calculation of late payment penalty noted in paragraph (1) shall be stipulated in the Enforcement Rules.

§129. Announcement of Business Day

The Exchange shall announce the business day for the calculation of the net present value, etc.

§130. Standard Time

Unless otherwise stated, the year, month and day used in this Regulation shall be based on the Korean Standard Time.

§131. Governing Laws and Jurisdiction

(1) The laws governing the application and interpretation of this Regulation shall be the laws of the Republic of Korea.

(2) The competent court for the dispute and lawsuit arising from the application and interpretation of this Regulation and the cleared transactions based on this Regulation shall be the Seoul Central District Court.

§132. Enforcement Rules

The matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

§133. [Deleted on September 17, 2025]

(Wholly amended on October 21, 2015)

§134. Risk Management in Case of Clearing Link

In cases where clearing is conducted in collaboration with a foreign CCP pursuant to Article 323-11(3)7 of the Act, the Exchange shall advocate the compatibility between the systems of the CCPs involved in the clearing link.

§135. Exception in Registration of Foreign Supervisory Institution etc.

The Exchange may limit the range of clearing operation and qualification requirements for clients in order to fulfill and maintain the requirements for the registration or authorization, etc. of a foreign supervisory institution for financial investment product clearing and settlement business in cases where the Exchange deems it necessary to register with a foreign supervisory institution for financial investment product clearing and settlement business as a financial investment product clearing and settlement company or receive the related registration exemption, permission, authorization, approval etc. (hereinafter in this Article referred to as “approval, etc.”) of the financial investment product clearing and settlement business from the relevant foreign supervisory institution and the detailed matters shall be stipulated in the Enforcement Rules.

[May 27, 2015]

§136. Public Opinion Gathering

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties should be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

ADDENDA

(Regulation No. 943 / September 11, 2013)

§1. Effective Date

This Regulation shall become effective on the day after the day when the Exchange obtains the authorization as a clearinghouse for OTC derivatives trades from the Financial Services Commission. Provided that the provisions of [§12], [§24] and [§115] shall be put into effect on June 30, 2014, and by taking into account the volume of cleared transactions, the provisions of [§119] shall be put into effect on the date specified in the Enforcement Rules.

§2. Exception in Calculation and Publication of Clearing Interest Rate

On the business day before the day when this Regulation is put into effect, the Exchange shall calculate and publish the clearing interest rate of 1,255 business days retroactive from the business day before the effective day of this Regulation.

§3. Exception in Accumulation of Settlement Reserve

Until the general meeting of shareholders is convened to approve the closing account of the fiscal year to which the effective date of this Regulation belongs, the Exchange shall use the other assets of Exchange instead of the settlement reserve noted in [§113].

ADDENDUM

(Regulation No. 1027 / June 3, 2014)

This Regulation shall become effective from June 30, 2014.

ADDENDUM

(Regulation No. 1141 / February 11, 2015)

This Regulation shall become effective from February 26, 2015. Provided that the provisions of [§11(1)1(b) & 2(b)] shall be put into effect on January 1, 2016, except for the financial investment company that declared the early application of the net capital ratio to the Governor of the Financial Supervisory Service, which shall be applicable from February 26, 2015.

ADDENDUM

(Regulation No. 1194 / May 27, 2015)

This Regulation shall become effective on the day which is stipulated in the Enforcement Rules within six (6) months from the approval date of Financial Services Commission.

ADDENDUM

(Regulation No. 1237 / October 21, 2015)

This Regulation shall become effective from November 23, 2015.

ADDENDUM

(Regulation No. 1381 / November 30, 2016)

This Regulation shall become effective on the date stipulated in the Enforcement Rules by taking into consideration the time required for the development of programs for the Exchange's OTC derivatives clearing system and the members' OTC derivatives clearing systems.

ADDENDUM

(Regulation No. 1603 / December 5, 2018)

This Regulation shall become effective from December 5, 2018. Provided that the amended provisions of [§95] shall become effective from the date set by the Enforcement Rules.

ADDENDUM

(Regulation No. 1718 / August 28, 2019)

This Regulation shall become effective from September 16, 2019.

ADDENDUM

(April 29, 2020 / Regulation No. 1807)

This Regulation shall become effective on May 8, 2020.

ADDENDUM

(June 9, 2020 / Regulation No. 1967)

This Regulation shall become effective on the date stipulated in the Enforcement Rules by taking into consideration the time required for the development of programs for the Exchange's OTC derivatives clearing system and the members' OTC derivatives clearing systems.

ADDENDUM

(August 25, 2021 / Regulation No. 1978)

This Regulation shall become effective on the date stipulated in the Enforcement Rules by taking into consideration of the enforcement time of the 2021 ISDA Interest Rate Derivatives Definitions.

ADDENDUM

(September 17, 2025 / Regulation No. 2357)

This Regulation shall become effective on October 27, 2025.